AUDITED FINANCIAL STATEMENTS

Renaissance Reinsurance Ltd. and Subsidiaries

December 31, 2024

RenaissanceRe

April 17, 2025

Report of Independent Auditors

To the Board of Directors and Shareholder of Renaissance Reinsurance Ltd.

Opinion

We have audited the accompanying consolidated financial statements of Renaissance Reinsurance Ltd. and its subsidiaries (the "Company"), which comprise the consolidated balance sheets as of December 31, 2024 and 2023, and the related consolidated statements of operations, comprehensive income, changes in shareholder's equity and cash flows for the years then ended, including the related notes (collectively referred to as the "consolidated financial statements").

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2024 and 2023, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (US GAAS). Our responsibilities under those standards are further described in the *Auditors' responsibilities for the audit of the consolidated financial statements* section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of management for the consolidated financial statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date the consolidated financial statements are available to be issued.

Auditors' responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with US GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are

considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgement made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with US GAAS, we:

- Exercise professional judgement and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgement, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required supplemental information

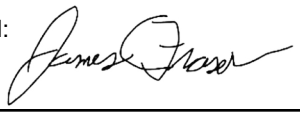
Accounting principles generally accepted in the United States of America require that the required supplemental information pertaining to *Short-Duration Contracts* disclosures labelled as "Unaudited" within Note 8 on pages 36 to 45 be presented to supplement the basic consolidated financial statements. Such information is the responsibility of management and, although not a part of the basic consolidated financial statements, is required by the Financial Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic consolidated financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplemental information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic consolidated financial statements, and other knowledge we obtained during our audit of the basic consolidated financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Chartered Professional Accountants

RENAISSANCE REINSURANCE LTD. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
AT DECEMBER 31, 2024 AND 2023
(in thousands of United States dollars)

	2024	2023
Assets		
Fixed maturity investments trading, at fair value - amortized cost $5,265,255 at December 31, 2024 (2023 - $5,754,140) (Notes 5 and 6)	$ 5,237,383	$ 5,815,133
Short term investments, at fair value - amortized cost $330,542 at December 31, 2024 (2023 - $439,178) (Notes 5 and 6)	330,493	439,618
Other investments, at fair value (Notes 5 and 6)	8,814	26,491
Equity method investments (Note 5)	1,720,099	2,094,342
Total investments	7,296,789	8,375,584
Cash and cash equivalents	512,200	704,419
Premiums receivable (Notes 7 and 10)	3,771,083	3,602,745
Prepaid reinsurance premiums (Notes 7 and 10)	945,331	832,893
Reinsurance recoverable (Notes 7, 8 and 10)	2,936,551	3,534,821
Due from affiliates, net (Note 10)	422,244	459,559
Accrued investment income	43,561	46,829
Deferred acquisition costs and value of business acquired (Note 3)	678,058	734,850
Deferred tax asset (Note 11)	444,763	438,602
Receivable for investments sold	1,617	339,421
Other assets	27,235	31,753
Goodwill and other intangible assets (Notes 3 and 4)	273,346	310,649
Total assets	$ 17,352,778	$ 19,412,125
Liabilities and Shareholder's Equity		
Liabilities		
Reserve for claims and claim expenses (Notes 8 and 10)	$ 8,181,824	$ 8,680,536
Unearned premiums (Note 10)	2,836,850	2,885,915
Reinsurance balances payable (Note 10)	2,084,373	1,744,790
Due to affiliates, net (Note 10)	39,918	37,856
Payable for investments purchased	5,991	353,295
Accounts payable and accrued liabilities	67,740	20,093
Other liabilities	11,161	10,109
Total liabilities	13,227,857	13,732,594
Shareholder's Equity		
Common shares: $1.00 par value – 141,301,000 shares issued and outstanding at December 31, 2024 and 2023 (Note 9)	141,301	141,301
Additional paid-in capital (Note 9)	3,067,188	4,567,361
Accumulated other comprehensive income (loss)	(3,193)	(3,241)
Retained earnings	919,625	974,110
Total shareholder's equity	4,124,921	5,679,531
Total liabilities and shareholder's equity	$ 17,352,778	$ 19,412,125

On behalf of the Board:



Director

See accompanying notes to the consolidated financial statements

RENAISSANCE REINSURANCE LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF OPERATIONS
FOR THE YEARS ENDED DECEMBER 31, 2024 AND 2023
(in thousands of United States dollars)

	2024	2023
Revenues		
Gross premiums written (Notes 7 and 10)	$ 4,530,032	$ 3,393,831
Net premiums written (Notes 7 and 10)	$ 2,780,756	$ 2,115,974
Decrease (increase) in net unearned premiums	160,553	141,523
Net premiums earned (Notes 7 and 10)	2,941,309	2,257,497
Net investment income (Note 5)	305,883	197,921
Net foreign exchange gains (losses)	(5,714)	(6,386)
Net income (losses) from equity method investments (Note 5)	164,512	196,017
Other income (loss) (Notes 8 and 10)	1,310	(1,648)
Net realized and unrealized gains (losses) on investments (Note 5)	(157,267)	51,872
Total revenues	3,250,033	2,695,273
Expenses		
Net claims and claim expenses incurred (Notes 7, 8 and 10)	1,297,515	912,960
Acquisition expenses	864,303	579,864
Operational expenses (Notes 10 and 14)	130,437	(28,851)
Corporate expenses	10,653	4,085
Total expenses	2,302,908	1,468,058
Income (loss) from continuing operations before taxes	947,125	1,227,215
Income tax benefit (expense) (Note 11)	1,701	436,027
Income (loss) from continuing operations	948,826	1,663,242
Income (loss) from discontinued operations (Note 3)	—	93,620
Net income (loss)	$ 948,826	$ 1,756,862

See accompanying notes to the consolidated financial statements

RENAISSANCE REINSURANCE LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
FOR THE YEARS ENDED DECEMBER 31, 2024 AND 2023
(in thousands of United States dollars)

	2024	2023
Comprehensive income (loss)		
Net income (loss)	$ 948,826	$ 1,756,862
Change in net unrealized gains (losses) on investments, net of tax	48	137
Comprehensive income (loss)	$ 948,874	$ 1,756,999

See accompanying notes to the consolidated financial statements

RENAISSANCE REINSURANCE LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN SHAREHOLDER'S EQUITY
FOR THE YEARS ENDED DECEMBER 31, 2024 AND 2023
(in thousands of United States dollars)

	2024	2023
Common shares	$ 141,301	$ 141,301
Additional paid-in capital		
Balance – January 1	4,567,361	2,712,100
Contribution of entity under common control (Note 3)	—	2,946,965
Deemed distribution on disposal of discontinued operations (Note 3)	—	(669,319)
Return of capital (Note 9)	(1,500,000)	(422,385)
Other	(173)	—
Balance – December 31	3,067,188	4,567,361
Accumulated other comprehensive loss		
Balance – January 1	(3,241)	(3,378)
Change in net unrealized gains on investments, net of tax	48	137
Balance – December 31	(3,193)	(3,241)
Retained earnings		
Balance – January 1	974,110	(600,024)
Net income (loss)	948,826	1,756,862
Dividends declared (Note 9)	(1,003,311)	(182,728)
Balance – December 31	919,625	974,110
Total shareholder's equity	$ 4,124,921	$ 5,679,531

See accompanying notes to the consolidated financial statements

RENAISSANCE REINSURANCE LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE YEARS ENDED DECEMBER 31, 2024 AND 2023
(in thousands of United States dollars)

	2024	2023
Cash flows provided by (used in) operating activities		
Income (loss) from continuing operations	$ 948,826	$ 1,663,242
Adjustments to reconcile net income (loss) to net cash provided by operating activities		
Amortization, accretion and depreciation	195,428	32,450
Equity in undistributed (earnings) losses of equity method investments	(146,275)	(190,127)
Net realized and unrealized (gains) losses on investments	102,199	(110,238)
Change in:		
Premiums receivable	(168,338)	61,065
Prepaid reinsurance premiums	(112,438)	52,293
Reinsurance recoverable	598,270	505,407
Deferred acquisition costs and value of business acquired	56,792	30,223
Reserve for claims and claim expenses	(498,712)	(613,067)
Unearned premiums	(49,065)	(193,813)
Reinsurance balances payable	339,583	47,644
Due to / from affiliates, net	19,410	(57,699)
Other	(131,111)	(547,817)
Net cash provided by (used in) operating activities	1,154,569	679,563
Cash flows provided by (used in) investing activities		
Proceeds from sales and maturities of fixed maturity investments trading	7,462,424	6,927,212
Purchases of fixed maturity investments trading	(8,175,441)	(7,368,268)
Proceeds from sales of short term investments	4,694,883	4,575,990
Purchases of short term investments	(4,588,195)	(3,759,536)
Proceeds from sales of other investments	19,196	17,537
Purchases of other investments	—	(8,700)
Proceeds from redemptions of equity method investments	152,254	—
Purchases of equity method investments	(653,685)	(466,002)
Return of capital from equity method investments	—	1,881
Net cash provided by (used in) investing activities	(1,088,564)	(79,886)
Cash flows provided by (used in) financing activities		
Return of capital	(246,114)	(128,148)
Cash received in net asset transfer of entity under common control	—	141,964
Dividends paid	—	(182,728)
Net cash provided by (used in) financing activities	(246,114)	(168,912)
Effect of exchange rate changes on foreign currency cash	(12,110)	6,237
Net (decrease) increase in cash and cash equivalents	(192,219)	437,002
Cash and cash equivalents, beginning of period	704,419	267,417
Cash and cash equivalents, end of period	$ 512,200	$ 704,419

See accompanying notes to the consolidated financial statements

NOTE 1. ORGANIZATION

Renaissance Reinsurance Ltd. ("Renaissance Reinsurance") was incorporated under the laws of Bermuda in 1993. Renaissance Reinsurance provides property and casualty and specialty reinsurance coverages to insurers and reinsurers on a worldwide basis. Renaissance Reinsurance is a wholly-owned subsidiary of RenRe Insurance Holdings Ltd. ("RenRe Insurance"), whose ultimate parent is RenaissanceRe Holdings Ltd. ("RenaissanceRe").

The consolidated financial statements of Renaissance Reinsurance include the financial position and results of operations of its wholly-owned subsidiaries, Renaissance Reinsurance of Europe Designated Activity Company, including its U.K. branch (collectively referred to as "Renaissance Reinsurance of Europe DAC"), RenaissanceRe Corporate Capital (UK) Limited ("RenaissanceRe CCL"), and its branches based in the Republic of Singapore (the "Singapore Branch"), Switzerland (the "Switzerland Branch") and Canada (the "Canada Branch"). These entities are collectively referred to as the "Company". Renaissance Reinsurance of Europe DAC was incorporated in October 1998 under the laws of Ireland to provide certain property and casualty and specialty reinsurance coverage in Europe. RenaissanceRe CCL, a wholly owned subsidiary of the Company, was incorporated in March 2009 and is the sole corporate member for RenaissanceRe's Lloyd's syndicate, RenaissanceRe Syndicate 1458 ("Syndicate 1458"). Syndicate 1458 offers a range of property and casualty and specialty insurance and reinsurance products. The Singapore Branch has a license to carry on insurance business as a general reinsurer under the regulation of the Monetary Authority of Singapore pursuant to Singapore's Insurance Act. The Switzerland Branch is considered a branch office of a foreign reinsurer, and is not regulated by the Swiss Financial Market Supervisory Authority. The Canada Branch office is subject to regulation by the Office of the Superintendent of Financial Institutions Canada.

On November 1, 2023, RenaissanceRe completed its acquisition of Validus Holdings, Ltd. ("Validus Holdings") from American International Group, Inc. ("AIG") in accordance with the Stock Purchase Agreement, dated May 22, 2023 (as amended, the "Stock Purchase Agreement"). Substantially all of the assets of Validus Holdings were comprised of its equity interest in its wholly-owned subsidiary, Validus Reinsurance, Ltd. ("Validus Re"). In connection with the acquisition of Validus Holdings, RenaissanceRe undertook an internal restructuring and, as a result, Renaissance Reinsurance amalgamated with Validus Re, with Renaissance Reinsurance being the surviving entity. The internal restructuring legally took place on October 1, 2024, however, for accounting purposes, and in accordance with Financial Accounting Standards Board ("FASB") Accounting Standards Codification ("ASC") Topic 805, *Business Combinations*, these consolidated financial statements have been retrospectively adjusted to furnish comparative information for the combined entity. Accordingly, the Company recognized the net asset transfer of Validus Re, at GAAP book value as of November 1, 2023, the initial date Validus Re was under common control. On December 31, 2023, Validus Holdings (UK) Ltd. ("Validus Holdings UK"), a wholly-owned subsidiary of Validus Re and the intermediate parent entity of Validus Reinsurance (Switzerland) Ltd. ("Validus Switzerland") was distributed to an affiliated RenaissanceRe entity as part of the internal restructuring transactions following the acquisition of Validus Holdings. For the comparative period presented, the results of Validus Holdings UK are disclosed in the discontinued operations section in the consolidated statements of operations in accordance with FASB ASC Topic 205-20, *Discontinued Operations*. See "Note 3. Transactions Between Entities Under Common Control" and "Note 9. Shareholder's Equity" for additional information related to Validus Re.

NOTE 2. SIGNIFICANT ACCOUNTING POLICIES

Basis Of Presentation

These consolidated financial statements have been prepared on the basis of accounting principles generally accepted in the United States ("GAAP"). All significant intercompany accounts and transactions have been eliminated from these statements.

Certain comparative information has been reclassified to conform to the current presentation.

Use Of Estimates in Financial Statements

The preparation of consolidated financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the reported and disclosed amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ materially from those estimates. The major estimates reflected in the Company's consolidated financial statements include, but are not limited to, the reserve for claims and claim expenses; reinsurance recoverable and premiums receivable, including provisions for reinsurance recoverable and premiums receivable to reflect expected credit losses; estimates of written and earned premiums; fair value, including the fair value of investments, financial instruments and derivatives; impairment charges; deferred acquisition costs, the value of business acquired ("VOBA") and the fair value of other assets acquired and liabilities assumed in acquisitions; and the Company's deferred tax valuation allowance.

Premiums and Related Expenses

Premiums are recognized as income, net of any applicable reinsurance or retrocessional coverage purchased, over the terms of the related contracts and policies. Premiums written are based on contract and policy terms and include estimates based on information received from both insureds and ceding companies. Subsequent revisions to premium estimates are recorded in the period in which they are determined. Unearned premiums represent the portion of premiums written that relate to the unexpired terms of contracts and policies in force. Amounts are computed by pro rata methods based on statistical data or reports received from ceding companies. Reinstatement premiums are estimated after the occurrence of a significant loss and are recorded in accordance with the contract terms based upon paid losses and case reserves. Reinstatement premiums are earned when written.

Acquisition costs are incurred when a contract or policy is issued and only the costs directly related to the successful acquisition of new and renewal contract or policies are deferred and amortized over the same period in which the related premiums are earned. Acquisition costs consist principally of commissions, brokerage and premium tax expenses and are shown net of commissions earned on ceded reinsurance. Certain of the Company's assumed contracts contain profit sharing provisions or adjustable commissions that are estimated based on the expected loss and loss adjustment expense on those contracts. Acquisition costs include accruals for such estimates of commissions. Certain of the Company's ceded contracts contain profit sharing provisions which accrue to the benefit of the Company. Acquisition costs are shown net of such commissions and profit commissions earned on ceded reinsurance. In addition, certain of the Company's ceded contracts contain override and management fees which are recorded as an offset against operational expenses. Deferred policy acquisition costs are limited to their estimated realizable value based on the related unearned premiums. Anticipated claims and claim expenses, based on historical and current experience, and anticipated investment income related to those premiums are considered in determining the recoverability of deferred acquisition costs.

NOTE 2. SIGNIFICANT ACCOUNTING POLICIES, cont'd.

Claims and Claim Expenses

The reserve for claims and claim expenses includes estimates for unpaid claims and claim expenses on reported losses as well as an estimate of losses incurred but not reported. The reserve is based on individual claims, case reserves and other reserve estimates reported by insureds and ceding companies as well as management estimates of ultimate losses. Inherent in the estimates of ultimate losses are expected trends in claim severity and frequency and other factors which could vary significantly as claims are settled. In addition, the Company does not have the benefit of a significant amount of its own historical experience in certain casualty and specialty and insurance lines of business. Accordingly, the reserving for incurred losses in these lines of business could be subject to greater variability.

Ultimate losses may vary materially from the amounts provided in the consolidated financial statements. These estimates are reviewed regularly and, as experience develops and new information becomes known, the reserves are adjusted as necessary. Such adjustments, if any, are reflected in the consolidated statements of operations in the period in which they become known and are accounted for as changes in estimates.

Reinsurance

Amounts recoverable from reinsurers are estimated in a manner consistent with the claims and claim expense reserves associated with the related assumed reinsurance. For multi-year retrospectively rated contracts, the Company accrues amounts (either assets or liabilities) that are due to or from retrocessionaires based on estimated contract experience. If the Company determines that adjustments to earlier estimates are appropriate, such adjustments are recorded in the period in which they are determined. Reinsurance recoverable on dual trigger reinsurance contracts require the Company to estimate its ultimate losses applicable to these contracts as well as estimate the ultimate amount of insured industry losses that will be reported by the applicable statistical reporting agency, as per the contract terms. Amounts recoverable from reinsurers are recorded net of a provision for current expected credit losses to reflect expected credit losses.

Assumed and ceded reinsurance contracts that lack significant transfer of risk are treated as deposits.

Certain assumed and ceded reinsurance contracts that do not meet all of the criteria to be accounted for as reinsurance in accordance with FASB ASC Topic 944, *Financial Services - Insurance* have been accounted for at fair value under the fair value option in accordance with FASB ASC Topic 825, *Financial Instruments*.

Investments

Fixed Maturity Investments

Investments in fixed maturities are classified as trading and are reported at fair value. Investment transactions are recorded on the trade date with balances pending settlement reflected in the balance sheet as a receivable for investments sold or a payable for investments purchased. Net investment income includes interest and dividend income together with amortization of market premiums and discounts and is net of investment management and custody fees. The amortization of premium and accretion of discount for fixed maturity securities is computed using the effective yield method. For mortgage-backed securities and other holdings for which there is prepayment risk, prepayment assumptions are evaluated quarterly and revised as necessary. Any adjustments required due to the change in effective yields and maturities are recognized on a prospective basis through yield adjustments. Fair values of investments are based on quoted market prices, or when such prices are not available, by reference to broker or underwriter bid indications and/or internal pricing valuation techniques. The net unrealized appreciation or depreciation on fixed maturity investments trading is included in net realized and unrealized gains (losses) on investments in the consolidated statements of operations. Realized gains or losses on the sale of investments are determined on the basis of the first in first out cost method.

NOTE 2. SIGNIFICANT ACCOUNTING POLICIES, cont'd.

Short Term Investments

Short term investments, which are managed as part of the Company's investment portfolio and have a maturity of one year or less when purchased, are carried at fair value. The net unrealized appreciation or depreciation on short term investments is included in net realized and unrealized gains (losses) on investments in the consolidated statements of operations.

Other Investments

The Company accounts for its other investments at fair value in accordance with FASB ASC Topic 825, *Financial Instruments* with interest and dividend income included in net investment income. Realized and unrealized gains and losses on other investments are included in net realized and unrealized gains (losses) on investments. The fair value of the Company's fund investments, which include private equity funds, private credit funds and hedge funds, is generally established on the basis of the net asset value ("NAV") per share (or its equivalent) established by each respective fund investments manager, if applicable. The net asset value established by the respective fund investments manager is determined in accordance with the governing documents of such fund investments. The Company applies the practical expedient provided by the FASB ASC Topic 825, *Financial Instruments* relating to investments in certain entities that calculate NAV per share (or its equivalent) and therefore measure the fair value of the fund investments based on that NAV per share, or its equivalent. Fund investments are recorded on the consolidated balance sheets in other investments. Fund investments which are valued using NAV per share as a practical expedient are not categorized within the fair value hierarchy.

Certain of the Company's fund investment managers, or their fund administrators, are unable to provide final fund valuations as of the Company's current reporting date. The Company typically experiences a reporting lag to receive a final net asset value report of one month for hedge funds and three months for both private equity funds and private credit funds, although the Company has occasionally experienced delays of up to six months, particularly at year end.

In circumstances where there is a reporting lag between the current period end reporting date and the reporting date of the latest fund valuation, the Company estimates the fair value of these funds by starting with the prior month or quarter-end fund valuations, adjusting these valuations for actual capital calls, redemptions or distributions, as well as the impact of changes in foreign currency exchange rates, and then estimating the return for the current period. In circumstances in which the Company estimates the return for the current period, all information available to the Company is utilized. This principally includes using preliminary estimates reported to the Company by its fund managers, where available, and estimating returns based on the performance of broad market indices or other valuation methods. Actual final fund valuations may differ, perhaps materially so, from the Company's estimates and these differences are recorded in the Company's statement of operations in the period in which they are reported to the Company as a change in estimate.

The Company's other investments also include investments in catastrophe bonds which are recorded at fair value. The fair value of catastrophe bonds is based on broker or underwriter bid indications.

Equity Method Investments

Investments in which the Company has significant influence over the operating and financial policies of the investee are classified as equity method investments and are accounted for under the equity method of accounting. Under this method, the Company's proportionate share of each equity method investment's net income (loss) is included in the consolidated statements of operations. Any decline in the value of the Company's proportionate share of each equity method investment is considered by management to be other-than-temporary is charged to earnings in the period in which it is determined.

The Company's equity method investments include interests in the mandatorily redeemable preferred shares of Renaissance Investment Holdings Ltd. ("RIHL"), Renaissance Other Investment Holdings II Ltd. ("ROIHL II") and Renaissance Other Investments Holdings III Ltd. ("ROIHL III"), related parties and wholly-owned subsidiaries of RenaissanceRe.

NOTE 2. SIGNIFICANT ACCOUNTING POLICIES, cont'd.

RIHL, ROIHL II and ROIHL III, at their sole discretion may require any shareholder to surrender some, or all of such shareholder's shares for redemption upon prior written notice in accordance with the normal redemption notice period. In addition, RIHL, ROIHL II and ROIHL III shall redeem all outstanding shares by a date, no later than December 31, 2038.

RIHL

RIHL was formed to enhance administrative efficiency and take advantage of the increased benefits and reduced costs ordinarily associated with the management of large investment portfolios of different subsidiaries in the same group. Through RIHL, the Company invests in a diversified portfolio of highly liquid fixed income securities and certain derivative products, both of which are measured at fair value. The Company may redeem its interest in RIHL at the current net asset value no more frequently than bi-monthly. Third party service providers perform custodial functions and external investment managers manage the assets held through RIHL, pursuant to written investment guidelines.

ROIHL II

ROIHL II was established to hold RenaissanceRe Ventures Ltd. ("RenVen"), a Bermuda domiciled company, which invests in certain strategic initiatives, including, but not limited to: equity investments; private equity investments; equity method investments in which RenVen has significant influence over the operating and financial policies of the investee; and certain other strategic investments.

ROIHL III

ROIHL III was established to hold Renaissance Investment Management Company Limited, a Bermuda domiciled investment management company, which invests in private equity funds, private credit funds and hedge funds.

Top Layer Re

The Company has significant influence over the operating and financial policies of Top Layer Reinsurance Ltd. ("Top Layer Re"), a managed joint venture formed by the Company to write high excess non-U.S. property catastrophe reinsurance.

Cash and Cash Equivalents

Cash equivalents include money market instruments with a maturity of ninety days or less when purchased.

Derivatives

From time to time, the Company enters into derivative instruments such as futures, options, swaps, forward contracts and other derivative contracts primarily to manage its foreign currency exposure, obtain exposure to a particular financial market, or for trading and to assume or hedge risk. The Company accounts for its derivatives in accordance with FASB ASC Topic 815, *Derivatives and Hedging*, which requires all derivatives to be recorded at fair value on the Company's balance sheet as either assets or liabilities, depending on their rights or obligations, with changes in fair value reflected in current earnings. The Company does not currently apply hedge accounting. The fair value of the Company's derivatives is estimated by reference to quoted prices or broker quotes, where available, or in the absence of quoted prices or broker quotes, the use of industry or internal valuation models.

Fair Value Option

The Company has elected to account for certain of its assets and liabilities at fair value in accordance with FASB ASC Topic 820, *Fair Value Measurement*. The Company recognizes the change in unrealized gains and losses arising from changes in fair value in its consolidated statements of operations.

NOTE 2. SIGNIFICANT ACCOUNTING POLICIES, cont'd.

Business Combinations, Goodwill and Other Intangible Assets

The Company accounts for business combinations in accordance with FASB ASC Topic 805, *Business Combinations*, and goodwill and other intangible assets that arise from business combinations in accordance with FASB ASC Topic 350, *Intangibles – Goodwill and Other*. A purchase price that is in excess of the fair value of the net assets acquired arising from a business combination is recorded as goodwill, and is not amortized. Other intangible assets with a finite life are amortized over the estimated useful life of the asset. Other intangible assets with an indefinite useful life are not amortized. Significant judgments, assumptions and estimates, which are inherently subjective, are required in determining the fair value of net assets acquired. The significant assumptions include the estimated cost of capital, investment yield, loss ratio, related expenses, effective tax rates and capital charges.

Goodwill and other intangible assets are tested for impairment on an annual basis or more frequently if events or changes in circumstances indicate that the carrying amount may not be recoverable. For purposes of the annual impairment evaluation, goodwill is assigned to the applicable reporting unit of the acquired entities giving rise to the goodwill.

The Company has established the second half of the year as the period for performing its annual impairment tests. The Company may determine to perform additional impairment testing at other times in the year if it is deemed necessary. The Company has elected to use the option to first assess qualitative factors to determine whether it is necessary to perform the quantitative goodwill impairment test. Under this option, the Company is not required to calculate the fair value of a reporting unit unless the Company determines, based on its qualitative assessment, that it is more likely than not that a reporting unit's fair value is less than its carrying amount. If goodwill or other intangible assets are impaired, they are written down to their estimated fair value with a corresponding expense reflected in the Company's consolidated statements of operations.

In accordance with FASB ASC Topic 805, *Business Combinations*, transactions between entities under common control are to be initially recognized at GAAP book value by the receiving entity at the transfer date and the financial statements of the receiving entity shall report the results of operations for the period in which the transfer occurs as though the transfer of net assets had occurred at the beginning of the earliest period presented. Financial statements and financial information presented for prior years shall be retrospectively adjusted to furnish comparative information. However, the comparative information shall only be adjusted for periods during which the entities were under common control. Since Validus Re was not under common control prior to November 1, 2023, the financial condition and results of operations of the Company at December 31, 2024 and 2023 and for the years then ended, include the results of operations of Validus Re from November 1, 2023. See "Note 3. Transactions Between Entities Under Common Control" and "Note 9. Shareholder's Equity" for additional information.

Variable Interest Entities

The Company accounts for variable interest entities ("VIEs") in accordance with FASB ASC Topic 810, *Consolidation*, which requires the consolidation of all VIEs by the primary beneficiary, that being the investor that has the power to direct the activities of the VIE and that will absorb a portion of the VIE's expected losses or residual returns that could potentially be significant to the VIE. When the Company determines it has a variable interest in a VIE, it determines whether it is the primary beneficiary of that VIE by performing an analysis that principally considers: (i) the VIE's purpose and design, including the risks the VIE was designed to create and pass through to its variable interest holders; (ii) the VIE's capital structure; (iii) the terms between the VIE and its variable interest holders and other parties involved with the VIE; (iv) which variable interest holders have the power to direct the activities of the VIE that most significantly impact the VIE's economic performance; (v) which variable interest holders have the obligation to absorb losses or the right to receive benefits from the VIE that could potentially be significant to the VIE; and (vi) related party relationships. The Company reassesses its determination of whether the Company is the primary beneficiary of a VIE upon changes in facts and circumstances that could potentially alter the Company's assessment.

NOTE 2. SIGNIFICANT ACCOUNTING POLICIES, cont'd.

Foreign Exchange

The Company's functional currency is the United States ("U.S.") dollar. Monetary assets and liabilities denominated in a currency other than the functional currency of the Company and its subsidiaries in which those monetary assets and liabilities reside are revalued into such subsidiary's functional currency at the prevailing exchange rate on the balance sheet date. Revenues and expenses denominated in a currency other than the functional currency of the Company and its subsidiaries, are valued at the exchange rate on the date on which the underlying revenue or expense transaction occurred. The net effect of these revaluation adjustments are recognized in the Company's consolidated statements of operations as part of net foreign exchange gains (losses).

Taxation

Income taxes have been provided for in accordance with the provisions of FASB ASC Topic 740, *Income Taxes*. Deferred tax assets and liabilities result from temporary differences between the amounts recorded in the consolidated financial statements and the tax basis of the Company's assets and liabilities. Such temporary differences are primarily due to net operating loss and capital loss carryforwards and GAAP versus tax basis accounting differences relating to unearned premiums, reserves for claims and claim expenses, deferred finance charges, deferred underwriting results, accrued expenses, investments, deferred acquisition expenses, VOBA, intangible assets, value of in-force business, and amortization and depreciation, among others. The effect on deferred tax assets and liabilities of a change in tax law or tax rates is recognized in income in the period in which the change is enacted. A valuation allowance against net deferred tax assets is recorded if it is more likely than not that all, or some portion, of the benefits related to net deferred tax assets will not be realized. Significant judgments, assumptions and estimates, which are inherently subjective, are required in determining income tax expense, temporary differences, the deferred tax impact of a change in law, and valuation allowances.

Uncertain tax positions are also accounted for in accordance with FASB ASC Topic 740, *Income Taxes*.

Uncertain tax positions must meet a more likely than not recognition threshold to be recognized.

Recently Issued Accounting Pronouncements Not Yet Adopted

Improvements to Income Tax Disclosures

In December 2023, the FASB issued ASU No. 2023-09, Improvements to Income Tax Disclosures ("ASU 2023-09"). Among other things, ASU 2023-09 address investor requests for more transparency about income tax information through improvements to income tax disclosures primarily related to the rate reconciliation and income taxes paid information. The amendments in ASU 2023-09 are effective for non-public business entities for annual periods beginning after December 15, 2025. Early adoption is permitted. The amendments in ASU 2023-09 should be applied on a prospective basis. Retrospective application is permitted. The Company is currently evaluating the impact of this guidance.

NOTE 3. TRANSACTIONS BETWEEN ENTITIES UNDER COMMON CONTROL

Acquisition of Validus Holdings

In connection with the acquisition of Validus Holdings, on November 1, 2023, RenaissanceRe paid AIG aggregate consideration of $2.985 billion, consisting of the following: (i) cash consideration of $2.735 billion; and (ii) 1,322,541 common shares, which were valued at approximately $250.0 million based on a value of $189.03 per share at signing, pursuant to the Stock Purchase Agreement. The value of the acquisition consideration was $3.020 billion as of the closing date. The parties determined that no post-closing adjustment was required to the value of the acquisition consideration as of the closing date.

In connection with acquisition of Validus Holdings, RenaissanceRe entered into a reserve development agreement whereby the Validus risk-bearing entities agreed to cede to AIG substantially all of their adverse or favorable development on stated reserves at the time of the closing, subject to certain terms and conditions. Under the reserve development agreement, AIG assumes substantially all of any favorable or adverse development on the stated reserves, on a whole-account basis, and takes into consideration adverse or favorable performance. To the extent the combined performance of the acquired reserve for claims and claim expenses is worse than expected on an aggregate basis, Validus Re is indemnified under the terms of the reserve development agreement and would expect to collect substantially all of the adverse development under the reserve development agreement. To the extent the combined performance of the acquired reserve for claims and claim expenses is better than expected on an aggregate basis, Validus Re would expect to pay substantially all of the favorable development to AIG under the reserve development agreement.

On November 1, 2023, Renaissance Re elected pushdown accounting treatment under FASB ASC Topic 805, *Business Combinations* which reflects the fair market value of assets, previously unrecognized intangible assets, goodwill, the fair market value of liabilities, and the adoption of RenaissanceRe accounting policies at the close of the acquisition.

Amalgamation of Renaissance Reinsurance and Validus Re

Following the acquisition of Validus Holdings, RenaissanceRe undertook an internal restructuring and, as a result, effective October 1, 2024, Renaissance Reinsurance amalgamated with Validus Re, with Renaissance Reinsurance being the surviving entity. Net assets of $2.9 billion associated with Validus Re were deemed to have been transferred to Renaissance Reinsurance at GAAP book value on November 1, 2023, the initial date Validus Re was under common control. Of the net assets deemed to have been transferred, $2.4 billion were related to continuing operations.

NOTE 3. TRANSACTIONS BETWEEN ENTITIES UNDER COMMON CONTROL, cont'd.

The following table summarizes the assets and liabilities from continuing operations deemed to have been transferred to the Company by balance sheet line item and are based on estimated fair values on November 1, 2023:

Assets:	
Fixed maturity investments trading	$ 1,598,458
Short term investments	943,744
Equity method investments	540
Cash and cash equivalents	141,964
Premiums receivable	1,105,094
Prepaid reinsurance premiums	105,364
Reinsurance recoverable	1,185,520
Accrued investment income	9,958
Deferred acquisition costs and value of business acquired	286,214
Other assets	381,066
Goodwill and other intangible assets (1)	314,952
Total assets	6,072,874
Liabilities:	
Reserve for claims and claim expenses	2,597,330
Unearned premiums	880,582
Reinsurance balances payable	219,374
Accounts payable and accrued liabilities	4,320
Total liabilities	3,701,606
Total net assets transferred	$ 2,371,268

(1) Goodwill and other intangible assets includes $7.5 million of goodwill represents the excess of the purchase price over the estimated fair value of the underlying net assets allocated to Validus Re on November 1, 2023.

The significant fair value adjustments and related future amortization arising from the election of pushdown accounting on net assets deemed to have been transferred to the Company on November 1, 2023 are as follows:

- Deferred acquisition costs and VOBA - to reflect the elimination of Validus Re's net deferred acquisition costs, and the establishment of the VOBA asset, which represents the present value of the expected underwriting profit within the unearned premiums liability, net of reinsurance, less costs to service the related policies and a risk premium. The fair value of VOBA was determined after taking into consideration certain key assumptions, including the estimated cost of capital, investment yield, loss ratio and related expenses. The adjustment for VOBA will be amortized to acquisition expenses over approximately two years, as the contracts for business in-force as of the acquisition date expire;
- Net reserve for claims and claim expenses - to reflect a decrease related to the present value of the net unpaid claims and claim expenses based on the estimated payout pattern, partially offset by an increase in net claims and claim expenses related to the estimated market based risk margin. The risk margin represents the estimated cost of capital required by a market participant to assume the net claims and claim expenses. The fair value of net reserve for claims and claim expenses was determined using certain key assumptions, including the estimated cost of capital and investment yield. This will be amortized using the projected discount and risk margin patterns of the net claims and claim expenses as of the acquisition date;

NOTE 3. TRANSACTIONS BETWEEN ENTITIES UNDER COMMON CONTROL, cont'd.

- Identifiable indefinite lived and finite lived intangible assets - to establish the fair value of identifiable intangible assets related to the acquisition of Validus Re, as described in detail below; and
- Deferred tax liability - to reflect the net deferred tax liability on the intangible assets and the other fair value adjustments.

Identifiable indefinite lived and finite lived intangible assets consisted of the following and are included in goodwill and other intangible assets on the Company's consolidated balance sheet:

	At December 31, 2024	Economic useful life
Agent relationships - top four	$ 145,434	15 years
Agent relationships - other	6,712	5 years
Renewal rights	148,646	15 years
Insurance licenses	6,661	Indefinite
Gross identifiable intangible assets assumed via transfer of entity under common control at November 1, 2023	307,453	
Accumulated amortization (from November 1, 2023 through December 31, 2024) (1)	(34,945)	
Impairment loss on insurance licenses (2)	(6,661)	
Net identifiable intangible assets assumed via transfer of entity under common control at December 31, 2024	$ 265,847	

(1) Amortization from the change in common control, November 1, 2023, through December 31, 2023 was included in the Company's consolidated statements of operations for the year ended December 31, 2023.

(2) Refer to "Note 4. Goodwill and Other Intangible Assets" for additional information related to the impairment loss on insurance licenses.

An explanation of the identifiable indefinite and finite intangible assets is as follows:

- Agent relationships - top four - the value of Validus Re's relationships with their top four brokers (Marsh & McLennan Companies, Inc., Aon plc, Willis Towers Watson Plc and Arthur J. Gallagher & Co.) after taking into consideration certain key assumptions, including the estimated cost of capital, investment yield, loss ratio, related expenses, effective tax rates and capital charges. These will be amortized based on an economic benefit pattern over its useful life as of November 1, 2023, the majority of which is expected to be within the first 10 years;
- Renewal rights - the value of policy renewal rights was determined after taking into consideration certain key assumptions, including the estimated cost of capital, investment yield, loss ratio, related expenses, effective tax rates and capital charges that would impact the expected cash flows from these renewals over the expected life of these policies. These will be amortized based on an economic benefit pattern over its useful life as of November 1, 2023, the majority of which is expected to be within the first 10 years; and
- Insurance licenses - the value of acquired insurance licenses.

NOTE 3. TRANSACTIONS BETWEEN ENTITIES UNDER COMMON CONTROL, cont'd.

Reorganization of Validus Re

In connection with the acquisition of Validus Holdings, on December 31, 2023, RenaissanceRe affected certain internal restructuring of Validus Re to align the operating structure of the Company to that of RenaissanceRe. As part of these restructurings, Validus Re distributed its interests in voting common shares of Validus Holdings UK to an affiliated entity at GAAP book value on November 1, 2023 in exchange for no consideration. In accordance with FASB ASC Topic 360, *Property, Plant and Equipment* the distribution was treated as a capital transaction and represents the net book value of the distributed discontinued operations less its contribution to net income (loss) for the period from November 1, 2023 to December 31, 2023. As the amalgamation of Renaissance Reinsurance and Validus Re was deemed effective on November 1, 2023, the initial date Validus Re was under common control in accordance with FASB ASC Topic 805, *Business Combinations*, the reorganization is also reflected in the amalgamated entity. The financial results of Validus Holdings UK from the change in common control on November 1, 2023 to December 31, 2023 are reported as discontinued operations in accordance with FASB ASC Topic 205-20, *Discontinued Operations*. The consolidated financial statements and notes thereto for the comparative period are presented excluding the operations and cash flows of the discontinued operations from the continuing operations of the Company since the Company does not expect to have material intercompany transactions in its operations after the distribution. Net income (loss) from discontinued operations is presented as a single line item on the consolidated statements of operations.

The Company did not have any assets, liabilities or shareholder's equity of discontinued operations classified as "held and used" related to Validus Holdings UK at December 31, 2024 or 2023.

The Company did not have any net income (loss) from discontinued operations for the year ended December 31, 2024. Details of the net income (loss) from discontinued operations for the year ended December 31, 2023 is as follows:

	2023
Revenues	
Gross premiums written	$ 313,237
Net premiums written	308,553
Decrease (increase) in net unearned premiums	20,252
Net premiums earned	328,805
Net investment income	17,870
Net foreign exchange gains (losses)	57
Other income (loss)	424
Net realized and unrealized gains (losses) on investments	53,736
Total revenues	400,892
Expenses	
Net claims and claim expenses incurred	207,463
Acquisition expenses	106,279
Operational expenses	2,693
Corporate expenses	403
Total expenses	316,838
Income (loss) before taxes	84,054
Income tax benefit (expense)	9,566
Net income (loss) from discontinued operations	$ 93,620

NOTE 3. TRANSACTIONS BETWEEN ENTITIES UNDER COMMON CONTROL, cont'd.

The Company did not have any net cash provided by (used in) operating activities from discontinued operations or net cash provided by (used in) investing activities from discontinued operations for the year ended December 31, 2024. As the reorganization was effective December 31, 2023, the consolidated statements of cash flows are presented for continuing operations only. Details of the net cash provided by (used in) operating activities from discontinued operations and net cash provided by (used in) investing activities from discontinued operations for the year ended December 31, 2023 is as follows:

	2023
Net cash provided by (used in) operating activities from discontinued operations	$ 139,639
Net cash provided by (used in) investing activities from discontinued operations	$ (44,024)

NOTE 4. GOODWILL AND OTHER INTANGIBLE ASSETS

The following tables show an analysis of goodwill and other intangible assets included in goodwill and other intangible assets on the Company's consolidated balance sheets:

At December 31,	2024	2023
Goodwill	$ 7,499	$ 7,499
Other intangible assets, net	265,847	303,150
Total goodwill and other intangible assets	$ 273,346	$ 310,649

Effective November 1, 2023, $7.5 million of goodwill was deemed to have been transferred to the Company in connection with the amalgamation of Renaissance Reinsurance and Validus Re on October 1, 2024. See "Note 3. Transactions Between Entities Under Common Control" for additional information.

The gross carrying value, accumulated amortization and accumulated impairment losses by major category of other intangible assets included in goodwill and other intangible assets on the Company's consolidated balance sheets are shown below:

	Other Intangible Assets			
At December 31, 2024	Gross Carrying Value	Accumulated Amortization	Accumulated Impairment Losses	Net
Customer relationships and customer lists	$ 300,792	$ (34,945)	$ —	$ 265,847
Insurance licenses [1]	6,661	—	(6,661)	—
Total	$ 307,453	$ (34,945)	$ (6,661)	$ 265,847
At December 31, 2023				
Customer relationships and customer lists	$ 300,792	$ (4,303)	$ —	$ 296,489
Insurance licenses [1]	6,661	—	—	6,661
Total	$ 307,453	$ (4,303)	$ —	$ 303,150

(1) Insurance licenses is comprised of $Nil of indefinite lived other intangible assets, included in other intangible assets, net, as of December 31, 2024 (2023 - $6.7 million)

Effective November 1, 2023, $307.5 million of gross identifiable intangible assets were deemed to have been transferred to the Company in connection with the amalgamation of Renaissance Reinsurance and Validus Re on October 1, 2024. See "Note 3. Transactions Between Entities Under Common Control" for additional information.

The Company recorded amortization expense of $30.6 million and an impairment loss of $6.7 million related to other intangible assets during 2024 (2023 - $4.3 million and $Nil, respectively).

NOTE 4. GOODWILL AND OTHER INTANGIBLE ASSETS, cont'd.

In accordance with the Company's established accounting policy, the Company reviewed its finite lived intangible assets for indicators for impairment throughout 2024, testing for impairment as appropriate. As a result of management's review and analysis, it was determined that certain insurance licenses associated with Validus Re were either cancelled upon amalgamation with Renaissance Reinsurance, or that there was no new business written using these licenses in 2024, and no new business would be incepting using these licenses on a go forward basis. Accordingly, and in connection with the Company's impairment testing performed, it was determined that the insurance licenses associated with Validus Re which were initially reflected as an indefinite lived intangible asset of $6.7 million on November 1, 2023, should be written down to $Nil. The Company recorded an intangible asset impairment charge of $6.7 million during the year ended December 31, 2024.

In performing the impairment assessment, the Company first assessed qualitative factors to determine whether it was necessary to perform a quantitative impairment test. Based on its qualitative assessment, the Company determined it was not more likely than not that the fair value of the goodwill and other intangible assets in question were less than their respective carrying amounts. The qualitative assessment included the following factors which the Company determined had not significantly deteriorated given specific facts and circumstances: macroeconomic conditions; industry and market conditions; costs factors; and overall financial performance. Other than the intangible assets impaired as noted above, and normal course amortization of intangible assets, in accordance with the Company's established accounting policy, there were no adjustments to carried goodwill and other intangible assets during the year ended December 31, 2024.

The remaining useful life of intangible assets with finite lives ranges from 3.8 to 13.8 years, with a weighted-average amortization period of 13.2 years. Expected amortization of the other intangible assets is shown below:

	Other Intangible Assets
2025	$ 44,608
2026	39,209
2027	34,431
2028	29,668
2029	24,446
2030 and thereafter	93,485
Total remaining amortization expense	265,847
Indefinite lived	—
Total	$ 265,847

NOTE 5. INVESTMENTS

Fixed Maturity Investments Trading

The following table summarizes the fair value of fixed maturity investments trading:

At December 31,	2024	2023
U.S. treasuries	$ 3,077,289	$ 2,974,942
Corporate [1]	1,151,768	1,546,957
Residential mortgage-backed	421,264	444,581
Asset-backed	226,109	385,564
Non-U.S. government	213,213	205,975
Agencies	147,740	122,685
Commercial mortgage-backed	—	134,429
Total fixed maturity investments trading	$ 5,237,383	$ 5,815,133

(1) Corporate fixed maturity investments include non-U.S. government-backed corporate fixed maturity investments.

Contractual maturities of fixed maturity investments trading are described in the following table. Expected maturities will differ from contractual maturities because borrowers may have the right to call or prepay obligations with or without call or prepayment penalties.

	At December 31, 2024		At December 31, 2023	
	Amortized Cost	Fair Value	Amortized Cost	Fair Value
Due in less than one year	$ 159,475	$ 159,417	$ 126,531	$ 125,799
Due after one through five years	2,452,438	2,455,102	2,992,630	3,013,567
Due after five through ten years	1,931,336	1,913,964	1,657,651	1,677,168
Due after ten years	65,537	61,527	35,276	34,025
Mortgage-backed	431,099	421,264	557,371	579,010
Asset-backed	225,370	226,109	384,681	385,564
Total	$ 5,265,255	$ 5,237,383	$ 5,754,140	$ 5,815,133

Pledged Investments

At December 31, 2024, $4.4 billion (2023 - $4.5 billion) of cash and investments at fair value were on deposit with, or in trust accounts for the benefit of various counterparties, including with respect to the Company's letter of credit facilities. Of this amount, $1.1 billion (2023 - $1.1 billion) is on deposit with, or in trust accounts for the benefit of, U.S. state regulatory authorities.

Net Investment Income

The components of net investment income are as follows:

Year ended December 31,	2024	2023
Fixed maturity investments trading	$ 253,751	$ 169,193
Short term investments	19,935	21,528
Other investments	1,666	3,317
Cash and cash equivalents	36,405	10,553
	311,757	204,591
Investment expenses	(5,874)	(6,670)
Net investment income	$ 305,883	$ 197,921

NOTE 5. INVESTMENTS, cont'd.

Net Realized and Unrealized Gains (Losses) on Investments

Net realized and unrealized gains (losses) on investments are as follows:

Year ended December 31,	2024	2023
Gross realized gains on fixed maturity investments trading	$ 47,600	$ 30,908
Gross realized losses on fixed maturity investments trading	(66,146)	(124,857)
Net realized gains (losses) on fixed maturity investments trading	(18,546)	(93,949)
Net unrealized gains (losses) on fixed maturity investments trading	(87,461)	201,742
Net realized and unrealized gains (losses) on fixed maturity investments trading	(106,007)	107,793
Net realized and unrealized gains (losses) on investment-related derivatives (1)	(52,397)	(56,936)
Net realized and unrealized gains (losses) on other investments - catastrophe bonds	1,082	1,009
Net realized and unrealized gains (losses) on other investments - other	55	6
Net realized and unrealized gains (losses) on investments	$ (157,267)	$ 51,872

(1) Net realized and unrealized gains (losses) on investment-related derivatives includes fixed maturity investments related derivatives and commodity related derivatives. See "Note 13. Derivative Instruments" for additional information.

Other Investments

The table below shows the fair value of the Company's portfolio of other investments:

At December 31,	2024	2023
Catastrophe bonds	$ 8,810	$ 26,200
Fund investments	4	291
Total	$ 8,814	$ 26,491

During 2024, the Company recorded a net income of $0.1 million (2023 - loss of $0.1 million), representing the change between the Company's fair value estimate for funds as at the prior year end, and the final reported net asset values provided by the Company's fund investment managers, as discussed in "Note 2. Significant Accounting Policies." This net income (loss) was included between net investment income and net realized and unrealized gains (losses) on investments for the year ended December 31, 2024.

The Company has committed capital to fund investments of $25.0 million of which $23.7 million has been contributed at December 31, 2024 (2023 - $25.0 million and $23.7 million, respectively). The Company's remaining commitments to these investments at December 31, 2024 totaled $1.3 million (2023 - $1.3 million). In the future, the Company may enter into additional commitments for such investments.

Catastrophe Bonds

Catastrophe bonds are non-investment grade bonds generally issued by unrelated third parties that generally mature within 1 to 5 years.

Fund Investments

Fund investments are limited partnership or similar interests in private equity funds or private credit funds managed by unrelated third parties.

NOTE 5. INVESTMENTS, cont'd.

Equity Method Investments

The table below shows the Company's portfolio of equity method investments:

	At December 31, 2024		At December 31, 2023	
	Ownership %	Carrying Value	Ownership %	Carrying Value
RIHL [1]	52.7%	$ 719,505	100.0%	$ 995,315
ROIHL II [1]	100.0%	172,431	100.0%	178,422
ROIHL III [1]	41.7%	799,187	64.9%	888,837
Top Layer Re	50.0%	28,976	50.0%	31,768
Total equity method investments		$ 1,720,099		$ 2,094,342

(1) The ownership in RIHL, ROIHL II and ROIHL III represents the Company's percentage ownership of mandatorily redeemable preferred shares.

The table below shows the Company's net income (losses) from equity method investments:

At December 31,	2024	2023
RIHL [1]	$ 62,370	$ 93,141
ROIHL II [1]	(6,038)	11,023
ROIHL III [1]	92,735	75,876
Top Layer Re	15,445	15,977
Total net income (losses) from equity method investments	$ 164,512	$ 196,017

The net income (losses) from the Company's equity method investments is recorded on a current quarter basis.

RIHL, ROIHL II and ROIHL III

During 2024, the Company received $2.3 billion of distributions from RIHL, ROIHL II and ROIHL III related to redemptions in mandatorily redeemable preferred shares, of which $2.3 billion was settled through return of capital and dividends paid to RenaissanceRe (2023 - $294.2 million and $294.2 million, respectively). Refer to "Note 9. Shareholder's Equity" for additional information.

Top Layer Re

During 2024, the Company received total distributions from Top Layer Re of $16.8 million (2023 - $7.8 million).

NOTE 6. FAIR VALUE MEASUREMENTS

The use of fair value to measure certain assets and liabilities with resulting unrealized gains or losses is pervasive within the Company's consolidated financial statements. Fair value is defined under accounting guidance currently applicable to the Company as the price that would be received upon the sale of an asset or paid to transfer a liability in an orderly transaction between open market participants at the measurement date. The Company recognizes the change in unrealized gains or losses arising from changes in fair value in its consolidated statements of operations.

FASB ASC Topic 820, *Fair Value Measurement* prescribes a fair value hierarchy that prioritizes the inputs to the respective valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (Level 1) and the lowest priority to valuation techniques that use at least one significant input that is unobservable (Level 3). The three levels of the fair value hierarchy are described below:

- Fair values determined by Level 1 inputs utilize unadjusted quoted prices obtained from active markets for identical assets or liabilities for which the Company has access at the measurement date. The fair value is determined by multiplying the quoted price by the quantity held by the Company;
- Fair values determined by Level 2 inputs utilize inputs (other than quoted prices included in Level 1) that are observable for the asset or liability, either directly or indirectly. Level 2 inputs include quoted prices for similar assets and liabilities in active markets, and inputs other than quoted prices that are observable for the asset or liability, such as interest rates and yield curves that are observable at commonly quoted intervals, broker quotes and certain pricing indices; and
- Level 3 inputs are based all or in part on significant unobservable inputs for the asset or liability, and include situations where there is little, if any, market activity for the asset or liability. In these cases, significant management assumptions can be used to establish management's best estimate of the assumptions used by other market participants in determining the fair value of the asset or liability.

In certain cases, the inputs used to measure fair value may fall into different levels of the fair value hierarchy. In such cases, the level in the fair value hierarchy within which the fair value measurement in its entirety falls has been determined based on the lowest level input that is significant to the fair value measurement of the asset or liability. The Company's assessment of the significance of a particular input to the fair value measurement in its entirety requires judgment, and the Company considers factors specific to the asset or liability.

In order to determine if a market is active or inactive for a security, the Company considers a number of factors, including, but not limited to, the spread between what a seller is asking for a security and what a buyer is bidding for the same security, the volume of trading activity for the security in question, the price of the security compared to its par value (for fixed maturity investments), and other factors that may be indicative of market activity.

There have been no material changes in the Company's valuation techniques, nor have there been any transfers between Level 1 and Level 2, or Level 2 and Level 3 during the period represented by these consolidated financial statements.

NOTE 6. FAIR VALUE MEASUREMENTS, cont'd.

Below is a summary of the assets and liabilities that are measured at fair value on a recurring basis and also represents the carrying amount on the Company's consolidated balance sheets:

At December 31, 2024	Total	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Fixed maturity investments trading				
U.S. treasuries	$ 3,077,289	$ 3,077,289	$ —	$ —
Corporate [1]	1,151,768	—	1,151,768	—
Residential mortgage-backed	421,264	—	421,264	—
Asset-backed	226,109	—	226,109	—
Non-U.S. government	213,213	—	213,213	—
Agencies	147,740	—	147,740	—
Total fixed maturity investments trading	5,237,383	3,077,289	2,160,094	—
Short term investments	330,493	7,499	322,994	—
Other investments				
Catastrophe bonds	8,810	—	8,810	—
Fund investments [2]	4	—	—	—
Total other investments	8,814	—	8,810	—
Other assets and (liabilities)				
Assumed and ceded (re)insurance contracts [3]	(311)	—	—	(311)
Derivative assets [4]	13,166	9,891	3,275	—
Derivative liabilities [4]	(11,161)	(7,322)	(3,839)	—
Total other assets and (liabilities)	1,694	2,569	(564)	(311)
	$ 5,578,384	$ 3,087,357	$ 2,491,334	$ (311)

(1) Corporate fixed maturity investments include non-U.S. government-backed corporate fixed maturity investments.

(2) Fund investments, which may include private equity funds, private credit funds, and hedge funds are measured at fair value using the net asset value per share (or its equivalent) as a practical expedient and have not been classified in the fair value hierarchy. The fair value presented in this table is provided to permit reconciliation of the fair value hierarchy to the amounts presented in the consolidated balance sheet.

(3) Included in assumed and ceded (re)insurance contracts at December 31, 2024 was $2.0 million of other assets and $2.3 million of other liabilities.

(4) Refer to "Note 13. Derivative Instruments" for additional information related to the fair value, by type of contract, of derivatives entered into by the Company.

NOTE 6. FAIR VALUE MEASUREMENTS, cont'd.

At December 31, 2023	Total	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Fixed maturity investments trading				
U.S. treasuries	$ 2,974,942	$ 2,974,942	$ —	$ —
Corporate [1]	1,546,957	—	1,546,957	—
Asset-backed	385,564	—	385,564	—
Non-U.S. government	205,975	—	205,975	—
Agencies	122,685	—	122,685	—
Residential mortgage-backed	444,581	—	444,581	—
Commercial mortgage-backed	134,429	—	134,429	—
Total fixed maturity investments trading	5,815,133	2,974,942	2,840,191	—
Short term investments	439,618	30,753	408,865	—
Other investments				
Catastrophe bonds	26,200	—	26,200	—
Fund investments [2]	291	—	—	—
Total other investments	26,491	—	26,200	—
Other assets and (liabilities)				
Assumed and ceded (re)insurance contracts [3]	(503)	—	—	(503)
Derivative assets [4]	14,072	12,669	1,403	—
Derivative liabilities [4]	(10,109)	(7,161)	(2,948)	—
Total other assets and (liabilities)	3,460	5,508	(1,545)	(503)
	$ 6,284,702	$ 3,011,203	$ 3,273,711	$ (503)

(1) Corporate fixed maturity investments include non-U.S. government-backed corporate fixed maturity investments.

(2) Fund investments, which may include private equity funds, private credit funds, and hedge funds are measured at fair value using the net asset value per share (or its equivalent) as a practical expedient and have not been classified in the fair value hierarchy. The fair value presented in this table is provided to permit reconciliation of the fair value hierarchy to the amounts presented in the consolidated balance sheet.

(3) Included in assumed and ceded (re)insurance contracts at December 31, 2023 was $2.2 million of other assets and $2.7 million of other liabilities.

(4) Refer to "Note 13. Derivative Instruments" for additional information related to the fair value, by type of contract, of derivatives entered into by the Company.

Level 1 and Level 2 Assets and Liabilities Measured at Fair Value

Fixed Maturity Investments

Fixed maturity investments included in Level 1 consist of the Company's investments in U.S. treasuries. Fixed maturity investments included in Level 2 are agencies, corporate (including non-U.S. government-backed corporate), non-U.S. government, residential mortgage-backed, commercial mortgage-backed and asset-backed.

NOTE 6. FAIR VALUE MEASUREMENTS, cont'd.

The Company's fixed maturity investments are primarily priced using pricing services, such as index providers and pricing vendors, as well as broker quotations. In general, the pricing vendors provide pricing for a high volume of liquid securities that are actively traded. For securities that do not trade on an exchange, the pricing services generally utilize market data and other observable inputs in matrix pricing models to determine month end prices. Observable inputs include benchmark yields, reported trades, broker-dealer quotes, issuer spreads, bids, offers, reference data and industry and economic events. Index pricing generally relies on market traders as the primary source for pricing; however, models are also utilized to provide prices for all index eligible securities. The models use a variety of observable inputs such as benchmark yields, transactional data, dealer runs, broker-dealer quotes and corporate actions. Prices are generally verified using third-party data. Securities which are priced by an index provider are generally included in the index.

In general, broker-dealers value securities through their trading desks based on observable inputs. The methodologies include mapping securities based on trade data, bids or offers, observed spreads, and performance on newly issued securities. Broker-dealers also determine valuations by observing secondary trading of similar securities. Prices obtained from broker quotations are considered non-binding, however they are based on observable inputs and by observing secondary trading of similar securities obtained from active and non-distressed markets.

The Company considers these broker quotations to be Level 2 inputs as they are corroborated with other market observable inputs. The techniques generally used to determine the fair value of the Company's fixed maturity investments are detailed below by asset class.

U.S. Treasuries

Level 1 - At December 31, 2024, the Company's U.S. treasuries fixed maturity investments were primarily priced by pricing services and had a weighted average yield to maturity of 4.4% and a weighted average credit quality of AA, (2023 - 4.0% and AA, respectively). When pricing these securities, the pricing services utilize daily data from many real time market sources, including active broker-dealers. Certain data sources are regularly reviewed for accuracy to attempt to ensure the most reliable price source is used for each issue and maturity date.

Corporate

Level 2 - At December 31, 2024, the Company's corporate fixed maturity investments principally consisted of U.S. and international corporations and non-U.S. government-backed corporations and had a weighted average yield to maturity of 4.9% and a weighted average credit quality of A (2023 - 5.0% and A, respectively).

The Company's corporate fixed maturity investments, other than non-U.S. government-backed corporations, are primarily priced by pricing services. When evaluating these securities, the pricing services gather information from market sources regarding the issuer of the security and obtain credit data, as well as other observations from markets and sector news. Evaluations are updated by obtaining broker-dealer quotes and other market information including actual trade volumes, when available. The pricing services also consider the specific terms and conditions of the securities, including any specific features which may influence risk. In certain instances, securities are individually evaluated using a spread which is added to the U.S. treasury curve or a security specific swap curve as appropriate.

Non-U.S. government-backed corporate fixed maturity investments are primarily priced by pricing services that employ proprietary discounted cash flow models to value the securities. Key quantitative inputs for these models are daily observed benchmark curves for treasury, swap and high quality credits. The pricing services then apply a credit spread to the respective curve for each security which is developed by in-depth and real time market analysis. For securities in which trade volume is low, the pricing services utilize data from more frequently traded securities with similar attributes. These models may also be supplemented by daily market and credit research for international markets.

NOTE 6. FAIR VALUE MEASUREMENTS, cont'd.

Agencies

Level 2 - At December 31, 2024, the Company's agency fixed maturity investments had a weighted average yield to maturity of 4.7% and a weighted average credit quality of AA (2023 - 4.6% and AA, respectively). The issuers of the Company's agency fixed maturity investments primarily consist of the Federal National Mortgage Association, the Federal Home Loan Mortgage Corporation and other agencies. Fixed maturity investments included in agencies are primarily priced by pricing services. When evaluating these securities, the pricing services gather information from market sources and integrate other observations from markets and sector news. Evaluations are updated by obtaining broker-dealer quotes and other market information including actual trade volumes, when available. The fair value of each security is individually computed using analytical models which incorporate option adjusted spreads and other daily interest rate data.

Non-U.S. Government

Level 2 - At December 31, 2024, the Company's non-U.S. government fixed maturity investments had a weighted average yield to maturity of 4.4% and a weighted average credit quality of AA (2023 - 4.4% and AA, respectively). The issuers of securities in this sector are non-U.S. governments and their respective agencies as well as supranational organizations. Securities held in these sectors are primarily priced by pricing services that employ proprietary discounted cash flow models to value the securities. Key quantitative inputs for these models are daily observed benchmark curves for treasury, swap and high issuance credits. The pricing services then apply a credit spread for each security which is developed by in-depth and real time market analysis. For securities in which trade volume is low, the pricing services utilize data from more frequently traded securities with similar attributes. These models may also be supplemented by daily market and credit research for international markets.

Residential Mortgage-backed

Level 2 - At December 31, 2024, the Company's residential mortgage-backed fixed maturity investments had a weighted average yield of maturity of 5.2%, a weighted average credit quality of AA and a weighted average life of 7.9 years (2023 - 4.7%, AA and 7.8 years, respectively). Residential mortgage-backed securities include both agency and non-agency mortgage-backed securities. The Company's agency mortgage-backed fixed maturity investments are primarily priced by pricing services using a mortgage pool specific model which utilizes daily inputs from the active to be announced market which is very liquid, as well as the U.S. treasury market. The model also utilizes additional information, such as the weighted average maturity, weighted average coupon and other available pool level data which is provided by the sponsoring agency. Valuations are also corroborated with active market quotes.

Non-agency mortgage-based securities are primarily priced by pricing services using an option adjusted spread model or other relevant models, which principally utilize inputs including benchmark yields, available trade information or broker quotes, and issuer spreads. The pricing services also review collateral prepayment speeds, loss severity and delinquencies among other collateral performance indicators for the securities valuation, when applicable.

Commercial Mortgage-backed

Level 2 - At December 31, 2023, the Company's commercial mortgage-backed fixed maturity investments had a weighted average yield to maturity of 10.2%, a weighted average credit quality of AAA and a weighted average life of 1.7 years. Securities held in these sectors are primarily priced by pricing services. The pricing services apply dealer quotes and other available trade information such as bid and offers, prepayment speeds which may be adjusted for the underlying collateral or current price data, the U.S. treasury curve and swap curve as well as cash settlement. The pricing services discount the expected cash flows for each security held in this sector using a spread adjusted benchmark yield based on the characteristics of the security.

NOTE 6. FAIR VALUE MEASUREMENTS, cont'd.

Asset-backed

Level 2 - At December 31, 2024, the Company's asset-backed fixed maturity investments had a weighted average yield to maturity of 6.0%, a weighted average credit quality of AA and a weighted average life of 6.0 years (2023 - 7.4%, AA and 4.5 years, respectively). The underlying collateral for the Company's asset-backed fixed maturity investments primarily consists of collateralized loan obligations and other receivables. Securities held in these sectors are primarily priced by pricing services. The pricing services apply dealer quotes and other available trade information such as bids and offers, prepayment speeds which may be adjusted for the underlying collateral or current price data, the U.S. treasury curve and swap curve as well as cash settlement. The pricing services determine the expected cash flows for each security held in this sector using historical prepayment and default projections for the underlying collateral and current market data. In addition, a spread is applied to the relevant benchmark and used to discount the cash flows noted above to determine the fair value of the securities held in this sector.

Short Term Investments

Level 1 - At December 31, 2024, the Company's short term investments in U.S. treasuries were primarily priced by pricing services and had a weighted average yield to maturity of 4.2% and a weighted average credit quality of AA (2023 - 5.1% and AA, respectively). When pricing these securities, the pricing services utilize daily data from many real time market sources, including active broker-dealers. Certain data sources are regularly reviewed for accuracy to attempt to ensure the most reliable price source is used for each issue and maturity date.

Level 2 - At December 31, 2024, the Company's other short term investments had a weighted average yield to maturity of 4.4% and a weighted average credit quality of AA (2023 - 5.3% and AA, respectively). Amortized cost approximates fair value for the majority of the remainder of the Company's short term investments portfolio and, in certain cases, fair value is determined in a manner similar to the Company's fixed maturity investments noted above.

Other Investments

Catastrophe Bonds

Level 2 - The Company's other investments include investments in catastrophe bonds which are recorded at fair value based on broker or underwriter bid indications.

Other Assets and Liabilities

Derivatives

Level 1 and Level 2 - Other assets and liabilities include certain derivatives entered into by the Company. The fair value of these transactions includes certain exchange traded futures contracts which are considered Level 1, and foreign currency contracts and certain credit derivatives, determined using standard industry valuation models and considered Level 2, as the inputs to the valuation model are based on observable market inputs. For credit derivatives, these inputs include credit spreads, credit ratings of the underlying referenced security, the risk free rate and the contract term. For foreign currency contracts, these inputs include spot rates and interest rate curves.

NOTE 6. FAIR VALUE MEASUREMENTS, cont'd.

Level 3 Assets and Liabilities Measured at Fair Value

Below is a summary of quantitative information regarding the significant unobservable inputs (Level 3) used in determining the fair value of assets and liabilities measured at fair value on a recurring basis:

At December 31, 2024	Fair Value (Level 3)	Valuation Technique	Unobservable Inputs	Weighted Average or Actual
Assumed and ceded (re)insurance contracts	$ (311)	Internal valuation model	Net undiscounted cash flows	$ 12,657
			Expected loss ratio	1.2 %
			Discount rate	4.4 %

At December 31, 2023	Fair Value (Level 3)	Valuation Technique	Unobservable Inputs	Weighted Average or Actual
Assumed and ceded (re)insurance contracts	$ (503)	Internal valuation model	Net undiscounted cash flows	$ 12,478
			Expected loss ratio	2.3 %
			Discount rate	3.8 %

Below is a reconciliation of the beginning and ending balances, for the periods shown, of assets and liabilities measured at fair value on a recurring basis using Level 3 inputs.

Other Assets and (Liabilities)	2024	2023
Balance, beginning of period	$ (503)	$ (1,837)
Other income (loss)	333	(475)
Purchases	3,500	1,809
Sales	(3,625)	—
Settlements	(16)	—
Balance - December 31, 2024	$ (311)	$ (503)

Other Assets and Liabilities

Assumed and Ceded (Re)insurance Contracts

Level 3 - At December 31, 2024, the Company had a $0.3 million net liability (2023 - $0.5 million net liability) related to assumed and ceded (re)insurance contracts accounted for at fair value, with the fair value obtained through the use of an internal valuation model. The inputs to the internal valuation model are principally based on proprietary data as observable market inputs are generally not available. The most significant unobservable inputs include the assumed and ceded expected net cash flows related to the contracts, including the expected premium, acquisition expenses and losses, the expected loss ratio and the relevant discount rate used to present value the net cash flows. The contract period and acquisition expense ratio are considered an observable input as each is defined in the contract. Generally, an increase in the net expected cash flows and expected term of the contract and a decrease in the discount rate, expected loss ratio or acquisition expense ratio, would result in an increase in the expected profit and ultimate fair value of these assumed and ceded (re)insurance contracts.

NOTE 6. FAIR VALUE MEASUREMENTS, cont'd.

Financial Instruments Disclosed, But Not Carried, at Fair Value

The Company uses various financial instruments in the normal course of its business. The Company's (re)insurance contracts are excluded from the fair value of financial instruments accounting guidance, unless the Company elects the fair value option, and therefore, are not included in the amounts discussed herein. The carrying values of cash and cash equivalents, accrued investment income, receivables for investments sold, certain other assets, payables for investments purchased, certain other liabilities, and other financial instruments not included herein approximated their fair values.

The Fair Value Option for Financial Assets and Financial Liabilities

The Company has elected to account for certain financial assets and financial liabilities at fair value using the guidance under FASB ASC Topic 825, *Financial Instruments* as the Company believes it represents the most meaningful measurement basis for these assets and liabilities. Below is a summary of the balances the Company has elected to account for at fair value:

At December 31,	2024	2023
Other investments	$ 8,814	$ 26,491
Other assets	$ 2,030	$ 2,227
Other liabilities	$ 2,341	$ 2,730

The change in fair value of other investments resulted in net unrealized gains on investments in 2024 of $1.2 million (2023 - gains of $1.1 million).

Measuring the Fair Value of Other Investments Using Net Asset Valuations

The table below shows the Company's portfolio of other investments measured using net asset valuations as a practical expedient:

At December 31, 2024	Fair Value	Unfunded Commitment	Redemption Frequency	Redemption Notice Period
Private credit funds	$ 4	$ 1,266	See below	See below

At December 31, 2023	Fair Value	Unfunded Commitment	Redemption Frequency	Redemption Notice Period
Private credit funds	$ 291	$ 1,266	See below	See below

Private Credit Funds

The Company's investments in private credit funds include limited partnership or similar interests that invest in certain private credit asset classes, including U.S. direct lending funds, secondaries, mezzanine investments, distressed securities and senior secured bank loan funds. The Company generally has no right to redeem its interest in any of these private credit funds in advance of dissolution of the applicable limited partnerships. Instead, distributions are received by the Company in connection with the liquidation or maturity of the underlying private credit assets of the fund. It is estimated that the majority of the underlying assets of the limited partnerships would liquidate over 5 to 10 years from inception of the limited partnership.

NOTE 6. FAIR VALUE MEASUREMENTS, cont'd.

Limited Partnerships Entities

The Company's fund investments, included within other investments, are primarily variable interests in limited partnerships entities with unaffiliated fund managers in the normal course of business. The Company determined that certain of these interests represent investments in the VIEs and that it is not required to consolidate these investments because it is not the primary beneficiary of these VIEs. The Company's maximum exposure to loss with respect to these VIEs is limited to the carrying amounts reported in the Company's consolidated balance sheets and any unfunded commitment.

The following table summarizes the aggregate carrying amount of the unconsolidated fund investments in VIEs, as well as the Company's maximum exposure to loss associated with these VIEs:

	Maximum Exposure To Loss		
Other Investments	Carrying Amount	Unfunded Commitment	Total
At December 31, 2024	$ 4	$ 1,266	$ 1,270
At December 31, 2023	$ 291	$ 1,266	$ 1,557

NOTE 7. REINSURANCE

The Company purchases reinsurance and other protection to manage its risk portfolio and to reduce its exposure to large losses. The Company currently has in place contracts that provide for recovery of a portion of certain claims and claim expenses, generally in excess of various retentions or on a proportional basis. In addition to loss recoveries, certain of the Company's ceded reinsurance contracts provide for payments of additional premiums, for reinstatement premiums and for lost no-claims bonuses, which are incurred when losses are ceded to the respective reinsurance contracts. The Company remains liable to the extent that any reinsurer fails to meet its obligations.

The following table sets forth the effect of reinsurance and retrocessional activity on premiums written and earned and on net claims and claim expenses incurred:

Year ended December 31,	2024	2023
Premiums Written		
Direct	$ 1,348,912	$ 994,156
Assumed	3,181,120	2,399,675
Ceded	(1,749,276)	(1,277,857)
Net premiums written	$ 2,780,756	$ 2,115,974
Premiums Earned		
Direct	$ 1,234,297	$ 1,033,180
Assumed	3,343,851	2,553,099
Ceded	(1,636,839)	(1,328,782)
Net premiums earned	$ 2,941,309	$ 2,257,497
Claims and Claim Expenses		
Gross claims and claim expenses incurred	$ 1,433,579	$ 1,005,963
Claims and claim expenses recovered	(136,064)	(93,003)
Net claims and claim expenses incurred	$ 1,297,515	$ 912,960

NOTE 7. REINSURANCE, cont'd.

In assessing an allowance for reinsurance assets, which includes premiums receivable and reinsurance recoverable, the Company considers historical information, financial strength of reinsurers, collateralization amounts, and counterparty credit ratings to determine the appropriateness of the allowance. In assessing future default for reinsurance assets, the Company evaluates the provision for current expected credit losses under the probability of default and loss given default method. The Company utilizes its internal capital and risk models, which use counterparty ratings from major rating agencies, and assesses the current market conditions for the likelihood of default. The Company updates its internal capital and risk models for counterparty credit ratings and current market conditions on a periodic basis. Historically, the Company has not experienced material credit losses from reinsurance assets.

Premiums receivable reflect premiums written based on contract and policy terms and include estimates based on information received from both insureds and ceding companies, supplemented by the Company's estimates of premiums that are written but not reported. Due to the nature of reinsurance, ceding companies routinely report and remit premiums subsequent to the contract coverage period, although the time lag involved in the process of reporting and collecting premiums is typically shorter than the lag in reporting losses.

At December 31, 2024, the Company's premiums receivable balance was $3.8 billion (2023 - $3.6 billion). Of the Company's premiums receivable balance as of December 31, 2024, the majority are receivable from highly rated counterparties. The provision for current expected credit losses on the Company's premiums receivable was $2.2 million at December 31, 2024 (2023 - $1.5 million). The following table provides a roll forward of the provision for current expected credit losses of the Company's premiums receivable:

Year ended December 31,	2024	2023
Beginning balance	$ 1,537	$ 1,941
Provision for (release of) allowance	666	(2,100)
Amounts transferred [1]	—	1,696
Ending balance	$ 2,203	$ 1,537

(1) Represents the provision for current expected credit losses on premiums receivable of Validus Re deemed to have been transferred to the Company, effective November 1, 2023.

Reinsurance recoverable reflects amounts due from reinsurers based on the claim liabilities associated with the reinsurance policy. The Company accrues amounts that are due from reinsurers based on estimated ultimate losses applicable to the contracts.

At December 31, 2024, the Company's reinsurance recoverable balance was $2.9 billion (2023 - $3.5 billion). Of the Company's reinsurance recoverable balance at December 31, 2024, 39.7% is fully collateralized by the Company's reinsurers, 59.4% is recoverable from reinsurers rated A- or higher by major rating agencies and 0.9% is recoverable from reinsurers rated lower than A- by major rating agencies (2023 - 51.2%, 47.7% and 1.1%, respectively). The reinsurers with the three largest balances accounted for 19.9%, 8.7% and 8.6%, respectively, of the Company's reinsurance recoverable balance at December 31, 2024 (2023 - 25.1%, 8.3% and 7.6%, respectively).

NOTE 7. REINSURANCE, cont'd.

The provision for current expected credit losses was $6.6 million at December 31, 2024 (2023 - $9.6 million). The three largest company-specific components of the provision for current expected credit losses represented 26.4%, 8.5% and 8.5%, respectively, of the Company's total provision for current expected credit losses at December 31, 2024 (2023 - 13.2%, 13.1% and 8.6%, respectively). The following table provides a roll forward of the provision for current expected credit losses of the Company's reinsurance recoverable:

Year ended December 31,	2024	2023
Beginning balance	$ 9,573	$ 7,763
Provision for (release of) allowance	(2,941)	(2,944)
Amounts transferred [1]	—	4,754
Ending balance	$ 6,632	$ 9,573

(1) Represents the provision for current expected credit losses on reinsurance recoverable of Validus Re deemed to have been transferred to the Company, effective November 1, 2023.

NOTE 8. RESERVE FOR CLAIMS AND CLAIM EXPENSES

The Company believes the most significant accounting judgment made by management is its estimate of claims and claim expense reserves. Claims and claim expense reserves represent estimates, including actuarial and statistical projections at a given point in time, of the ultimate settlement and administration costs for unpaid claims and claim expenses arising from the insurance and reinsurance contracts the Company sells. The Company's reserve for claims and claim expenses are a combination of case reserves, additional case reserves ("ACR") and incurred but not reported losses and incurred but not enough reported losses (collectively referred to as "IBNR"). Case reserves are losses reported to the Company by insureds and ceding companies, but which have not yet been paid. If deemed necessary and in certain situations, either the Company establishes, or the Company's clients report, ACR. Client reported ACR represents the client's estimate of additional contract specific claims in excess of the case reserves they have reported to the Company. ACR established by the Company represents the Company's estimates for claims related to specific contracts which the Company believes may not be adequately estimated by the client as of that date or is not within the IBNR. The Company establishes IBNR using actuarial techniques and expert judgment to represent the anticipated cost of claims which have not been reported to the Company yet, or where the Company anticipates increased reporting.

The following table summarizes the Company's reserve for claims and claim expenses by main class of business, allocated between case reserves, ACR and IBNR:

At December 31, 2024	Case Reserves	Additional Case Reserves	IBNR	Total
Property	$ 949,423	$ 1,197,036	$ 1,455,495	$ 3,601,954
Casualty and Specialty	1,019,874	151,604	3,408,392	4,579,870
Total	$ 1,969,297	$ 1,348,640	$ 4,863,887	$ 8,181,824
At December 31, 2023				
Property	$ 1,190,240	$ 1,608,195	$ 1,580,596	$ 4,379,031
Casualty and Specialty	999,211	212,416	3,089,878	4,301,505
Total	$ 2,189,451	$ 1,820,611	$ 4,670,474	$ 8,680,536

NOTE 8. RESERVE FOR CLAIMS AND CLAIM EXPENSES, cont'd.

Activity in the reserve for claims and claim expenses is summarized as follows:

Year ended December 31,	2024	2023
Reserve for claims and claim expenses, net of reinsurance recoverable, beginning of period	$ 5,145,715	$ 3,841,565
Net incurred related to:		
Current year	1,735,937	1,157,429
Prior years	(438,422)	(244,469)
Total net incurred	1,297,515	912,960
Net paid related to:		
Current year	170,011	121,918
Prior years	1,018,217	899,503
Total net paid	1,188,228	1,021,421
Foreign exchange and other (1)	(9,729)	6,815
Amounts transferred (2)	—	1,405,796
Reserve for claims and claim expenses, net of reinsurance recoverable, end of period	5,245,273	5,145,715
Reinsurance recoverable, end of period	2,936,551	3,534,821
Reserve for claims and claim expenses, end of period	$ 8,181,824	$ 8,680,536

(1) Reflects the impact of the foreign exchange revaluation of the reserve for claims and claim expenses, net of reinsurance recoverable, denominated in non-U.S. dollars as at the balance sheet date, as well as reinsurance transactions accounted for under retroactive reinsurance accounting.

(2) Represents the reserve for claims and claim expenses, net of reinsurance recoverable, of Validus Re deemed to have been transferred to the Company, effective November 1, 2023.

During 2024, the Company incurred losses related to Hurricane Milton, Hurricane Helene, the Baltimore Bridge Collapse, a series of severe convective storms that impacted the Southern and Midwest United States, the Hualien earthquake which impacted Taiwan in April 2024, a severe hailstorm which impacted Calgary in August 2024, Hurricane Debby, Hurricane Beryl, and certain aggregate loss contracts triggered during 2024.

The Company's reserving methodology for each line of business uses a loss reserving process that calculates a point estimate for its ultimate settlement and administration costs for claims and claim expenses. The Company does not calculate a range of estimates and does not discount any of its reserves for claims and claim expenses. The Company uses this point estimate, along with paid claims and case reserves, to record its best estimate of ACR and IBNR in its consolidated financial statements. Under GAAP, the Company is not permitted to establish estimates for catastrophe claims and claim expense reserves until an event occurs that gives rise to a loss.

Reserving involves other uncertainties, such as the dependence on information from ceding companies, the time lag inherent in reporting information from the primary insurer to the Company or to the Company's ceding companies, and differing reserving practices among ceding companies. The information received from ceding companies is typically in the form of bordereaux, broker notifications of loss and/or discussions with ceding companies or their brokers. This information may be received on a monthly, quarterly or transactional basis and normally includes paid claims and estimates of case reserves. The Company sometimes also receives an estimate or provision for IBNR. This information is updated and adjusted periodically during the loss settlement period as new data or facts in respect of initial claims, client accounts, industry or event trends may be reported or emerge in addition to changes in applicable statutory and case laws.

NOTE 8. RESERVE FOR CLAIMS AND CLAIM EXPENSES, cont'd.

The Company's estimates of large losses are based on factors including currently available information derived from claims information from certain customers and brokers, industry assessments of losses, proprietary models, and the terms and conditions of the Company's contracts. The uncertainty of the Company's estimates for large losses is also impacted by the preliminary nature of the information available, the magnitude and relative infrequency of the events, the expected duration of the respective claims development period, inadequacies in the data provided to the relevant date by industry participants and the potential for further reporting lags or insufficiencies; and in certain large losses, significant uncertainty as to the form of the claims and legal issues, under the relevant terms of insurance and reinsurance contracts. In addition, a significant portion of the net claims and claim expenses associated with certain large losses can be concentrated with a few large clients and therefore the loss estimates for these large losses may vary significantly based on the claims experience of those clients. The contingent nature of business interruption and other exposures will also impact losses in a meaningful way, which may give rise to significant complexity in respect of claims handling, claims adjustment and other coverage issues, over time.

Given the magnitude of certain events, there can be meaningful uncertainty regarding total covered losses for the insurance industry and, accordingly, several of the key assumptions underlying the Company's loss estimates. Loss reserve estimation in respect of the Company's retrocessional contracts poses further challenges compared to directly assumed reinsurance. In addition, the Company's actual net losses from these events may increase if the Company's reinsurers or other obligors fail to meet their obligations.

The Company reevaluates its actuarial reserving assumptions on a periodic basis. Typically, the quarterly review procedures include reviewing paid and reported claims in the most recent reporting period, reviewing the development of paid and reported claims from prior periods, and reviewing the Company's overall experience by underwriting year and in the aggregate. The Company monitors its expected ultimate claims and claim expense ratios and expected claims reporting assumptions on a quarterly basis and compares them to its actual experience. These actuarial assumptions are generally reviewed annually, based on input from the Company's actuaries, underwriters, claims personnel and finance professionals, although adjustments may be made more frequently if needed. Assumption changes are made to adjust for changes in the terms of coverage the Company provides, changes in industry results for similar business, as well as its actual experience to the extent the Company has enough data to rely on its own experience. If the Company determines that adjustments to an earlier estimate are appropriate, such adjustments are recorded in the period in which they are identified.

Because of the inherent uncertainties discussed above, the Company has developed a reserving philosophy that attempts to incorporate prudent assumptions and estimates, and the Company has generally experienced favorable development on prior accident years net claims and claim expenses in the last several years. However, there is no assurance that this favorable development on prior accident years net claims and claim expenses will occur in future periods.

The Company establishes a provision for unallocated loss adjustment expenses ("ULAE") when the related reserve for claims and claim expenses is established. ULAE are expenses that cannot be associated with a specific claim but are related to claims paid or in the process of settlement, such as internal costs of the claims function, and are included in the reserve for claims and claim expenses. The determination of the ULAE provision is subject to judgment.

NOTE 8. RESERVE FOR CLAIMS AND CLAIM EXPENSES, cont'd.

Incurred and Paid Claims Development and Reserving Methodology

The information provided herein about incurred and paid accident year claims development for the years ended prior to December 31, 2024 on a consolidated basis and by main class of business is presented as supplementary information. The Company has applied a retrospective approach with respect to its acquisitions, presenting all relevant historical information for all periods presented. In addition, included in the incurred claims and claim expenses and cumulated paid claims and claim expenses tables below are reconciling items that represent the unamortized balance of fair value adjustments recorded in connection with an acquisition to reflect an increase in net claims and claim expenses due to the addition of a market based risk margin that represented the cost of capital required by a market participant to assume the net claims and claim expenses of the acquiree, partially offset by a decrease from discounting in connection with an acquisition, to reflect the time value of money.

For incurred and paid accident year claims denominated in currencies other than USD, the Company used the current year-end balance sheet foreign exchange rate for all periods provided, thereby eliminating the effects of changes in foreign currency translation rates from the incurred and paid accident year claims development information included in the tables below.

NOTE 8. RESERVE FOR CLAIMS AND CLAIM EXPENSES, cont'd.

The following table details the Company's consolidated incurred claims and claim expenses and cumulative paid claims and claim expenses as of December 31, 2024, net of reinsurance, as well as IBNR and ACR included within the net incurred claims amounts:

	Incurred Claims and Claim Expenses, Net of Reinsurance										
	For the year ended December 31,										At December 31, 2024
Accident Year	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	IBNR and ACR
	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)		
2015	$ 644,922	$ 600,003	$ 594,428	$ 565,029	$ 542,870	$ 540,751	$ 543,169	$ 544,202	$ 545,436	$ 546,126	$ 14,577
2016	—	653,156	682,919	665,586	645,766	620,445	631,881	635,054	614,816	616,988	9,481
2017	—	—	1,501,877	1,461,696	1,390,242	1,361,480	1,332,565	1,295,638	1,282,773	1,279,628	94,119
2018	—	—	—	994,734	1,074,583	1,047,261	970,286	953,257	946,387	942,559	92,286
2019	—	—	—	—	1,110,857	1,098,591	1,062,518	1,038,851	1,064,541	1,090,416	65,528
2020	—	—	—	—	—	1,625,556	1,639,706	1,675,552	1,636,018	1,594,605	289,368
2021	—	—	—	—	—	—	1,815,854	1,732,266	1,684,351	1,570,613	279,841
2022	—	—	—	—	—	—	—	1,852,328	1,711,341	1,499,591	665,845
2023	—	—	—	—	—	—	—	—	1,534,486	1,467,572	877,177
2024	—	—	—	—	—	—	—	—	—	1,693,776	1,375,691
Total										$12,301,874	$ 3,763,913

	Cumulative Paid Claims and Claim Expenses, Net of Reinsurance									
	For the year ended December 31,									
Accident Year	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	
2015	$ 71,071	$ 182,209	$ 302,480	$ 371,683	$ 426,236	$ 449,732	$ 467,489	$ 491,089	$ 504,525	$ 509,957
2016	—	80,160	240,251	327,858	423,639	482,342	528,747	550,701	552,946	563,489
2017	—	—	361,026	536,877	721,226	869,644	931,982	987,106	1,022,545	1,081,633
2018	—	—	—	248,479	339,701	467,291	613,936	670,678	647,155	678,522
2019	—	—	—	—	98,464	335,846	504,541	657,011	773,420	860,025
2020	—	—	—	—	—	209,217	588,114	793,594	924,004	1,160,749
2021	—	—	—	—	—	—	298,716	638,234	972,834	1,058,326
2022	—	—	—	—	—	—	—	12,910	431,924	710,466
2023	—	—	—	—	—	—	—	—	146,502	376,958
2024	—	—	—	—	—	—	—	—	—	161,907
Total										$ 7,162,032
Outstanding liabilities from accident year 2014 and prior, net of reinsurance										248,786
Adjustment for retroactive reinsurance										(124,576)
Adjustment for unallocated loss adjustment expenses										37,706
Unamortized fair value and other adjustments recorded in connection with acquisitions										(56,485)
Liability for claims and claim expenses, net of reinsurance										$ 5,245,273

NOTE 8. RESERVE FOR CLAIMS AND CLAIM EXPENSES, cont'd.

Property Main Class of Business

Within the Property main class of business, the Company writes property catastrophe excess of loss reinsurance contracts to insure insurance and reinsurance companies against natural and man-made catastrophes. Under these contracts, the Company indemnifies an insurer or reinsurer when its aggregate paid claims and claim expenses from a single occurrence of a covered peril exceeds the attachment point specified in the contract, up to an amount per loss specified in the contract. Generally, the Company's most significant exposure is to losses from hurricanes, earthquakes and other windstorms, although the Company is also exposed to claims arising from other man-made and natural catastrophes, such as tsunamis, winter storms, freezes, floods, fires, tornadoes, explosions and acts of terrorism. The Company's predominant exposure under such coverage is to property damage. However, other risks, including business interruption and other non-property losses, may also be covered under the Company's catastrophe contracts when arising from a covered peril. The Company's coverages are offered on either a worldwide basis or are limited to selected geographic areas.

Coverage can also vary from "all property" perils to limited coverage on selected perils, such as "earthquake only" coverage. The Company also enters into retrocessional contracts that provide property catastrophe coverage to other reinsurers or retrocedants. This coverage is generally in the form of excess of loss retrocessional contracts and may cover all perils and exposures on a worldwide basis or be limited in scope to selected geographic areas, perils and/or exposures. The exposures the Company assumes from retrocessional business can change within a contract term as the underwriters of a retrocedant may alter their book of business after the retrocessional coverage has been bound.

Also included in the Property main class of business is property per risk, property (re)insurance, delegated authority arrangements and regional U.S. multi-line reinsurance. The Company's predominant exposure under such coverage is to property damage. However, other risks, including business interruption and other non-property losses, may also be covered when arising from a covered peril. The Company's coverages are offered on either a worldwide basis or are limited to selected geographic areas. Principally all of the business is reinsurance, although the Company also writes insurance business primarily through delegated authority arrangements. The Company offers these products principally through proportional reinsurance coverage or in the form of delegated authority arrangements. In a proportional reinsurance arrangement (also referred to as quota share reinsurance or pro rata reinsurance), the reinsurer shares a proportional part of the original premiums and losses of the reinsured.

Claims and claim expenses in the Company's Property main class of business are generally characterized by losses of low frequency and high severity. Initial reporting of paid and incurred claims in general, tends to be relatively prompt, particularly for less complex losses. The Company considers this business "short-tail" as compared to the reporting of claims for "long-tail" products, which tends to be slower. However, the timing of claims payment and reporting also varies depending on various factors, including: whether the claims arise under reinsurance of primary insurance companies or reinsurance of other reinsurance companies; the nature of the events (*e.g.*, hurricanes, earthquakes or terrorism); the geographic area involved; post-event inflation which may cause the cost to repair damaged property to increase significantly from current estimates, or for property claims to remain open for a longer period of time, due to limitations on the supply of building materials, labor and other resources; complex policy coverage and other legal issues; and the quality of each client's claims management and reserving practices. Management's judgments regarding these factors are reflected in the Company's reserve for claims and claim expenses.

NOTE 8. RESERVE FOR CLAIMS AND CLAIM EXPENSES, cont'd.

Reserving for most of the Company's Property main class of business, in particular catastrophe exposure, generally does not involve the use of traditional actuarial techniques, although for certain classes such as proportional Property classes, traditional actuarial techniques are applied. Rather, claims and claim expense reserves are estimated by management by completing an in-depth analysis of the individual contracts which may potentially be impacted by the loss. The in-depth analysis generally involves: 1) estimating the size of insured industry losses; 2) reviewing reinsurance contract portfolios to identify contracts which are exposed; 3) reviewing information reported or otherwise provided by customers and brokers; 4) discussing the loss with customers and brokers; and 5) estimating the ultimate expected cost to settle all claims and administrative costs arising from the loss on a contract-by-contract basis and in aggregate for the event. Once a loss has occurred, during the then current reporting period, the Company records its best estimate of the ultimate expected cost to settle all claims arising from the loss. The Company's estimate of claims and claim expense reserves is then determined by deducting cumulative paid losses from its estimate of the ultimate expected loss. The Company's estimate of IBNR is determined by deducting cumulative paid losses, case reserves and ACR from its estimate of the ultimate expected loss. Once the Company receives a valid notice of loss or payment request under a catastrophe reinsurance contract, it is generally able to process and pay such claims promptly.

Because losses from which claims arise under policies written within the Property main class of business are typically prominent, public events such as hurricanes and earthquakes, the Company is often able to use independent reports as part of its loss reserve estimation process. The Company also reviews catastrophe bulletins published by various statistical reporting agencies to assist in determining the size of the industry loss, although these reports may not be available for some time after an event. For smaller events including localized severe weather events such as windstorms, hail, ice, snow, flooding, freezing and tornadoes, which are not necessarily prominent, public occurrences, the Company uses standard actuarial techniques to set reserves as it does in other property. The assumptions used are monitored and reviewed through the year to ensure they reflect the level of small cat activity experienced through the year and the exposure to the geographic regions involved. For these small events, the IBNR is run-off over time using Bornhuetter-Ferguson actuarial method, a standard actuarial technique. The loss development factors for the reported Bornhuetter-Ferguson actuarial method are selected based on a review of the Company's historical experience. The reported loss development factors are typically reviewed annually.

In general, reserves for the Company's more recent large losses are subject to greater uncertainty and, therefore, greater potential variability, and are likely to experience material changes from one period to the next. This is due to the uncertainty as to the size of the industry losses, uncertainty as to which contracts have been exposed, uncertainty due to complex legal and coverage issues that can arise out of large or complex losses, and uncertainty as to the magnitude of claims incurred by the Company's customers. As the Company's claims age, more information becomes available and the Company believes its estimates become more certain.

NOTE 8. RESERVE FOR CLAIMS AND CLAIM EXPENSES, cont'd.

The following table details the Company's Property main class of business incurred claims and claim expenses and cumulative paid claims and claim expenses as of December 31, 2024, net of reinsurance, as well as IBNR and ACR included within the net incurred claims amounts:

	Incurred Claims and Claim Expenses, Net of Reinsurance										
	For the year ended December 31,										At December 31, 2024
Accident Year	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	IBNR and ACR
	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)		
2015	$ 248,498	$ 208,153	$ 182,600	$ 169,083	$ 162,853	$ 157,284	$ 150,511	$ 152,072	$ 153,539	$ 152,255	$ 195
2016	—	262,290	289,057	274,512	262,248	247,737	250,387	251,373	241,003	240,549	3,000
2017	—	—	983,148	937,246	852,734	838,741	792,797	756,303	734,845	718,838	58,752
2018	—	—	—	506,893	532,742	515,311	459,057	452,241	428,177	416,476	49,502
2019	—	—	—	—	603,791	603,389	563,621	526,293	497,681	508,127	28,034
2020	—	—	—	—	—	837,589	938,903	965,660	924,623	900,408	130,387
2021	—	—	—	—	—	—	1,007,654	1,035,285	1,016,989	937,459	50,161
2022	—	—	—	—	—	—	—	838,076	793,138	641,680	213,644
2023	—	—	—	—	—	—	—	—	496,897	451,587	243,741
2024	—	—	—	—	—	—	—	—	—	727,604	556,503
Total										$ 5,694,983	$ 1,333,919

	Cumulative Paid Claims and Claim Expenses, Net of Reinsurance									
	For the year ended December 31,									
Accident Year	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	
2015	$ 44,241	$ 104,792	$ 126,780	$ 139,695	$ 146,344	$ 149,208	$ 146,247	$ 149,486	$ 150,787	$ 151,100
2016	—	51,057	140,192	185,431	207,955	220,449	229,410	232,718	231,772	233,278
2017	—	—	326,052	425,325	530,047	562,342	559,349	588,525	597,768	616,871
2018	—	—	—	215,072	200,328	254,783	297,895	319,561	257,973	260,568
2019	—	—	—	—	59,594	183,511	272,366	330,297	369,331	388,786
2020	—	—	—	—	—	110,085	389,559	488,318	545,611	675,752
2021	—	—	—	—	—	—	264,121	515,468	726,492	742,128
2022	—	—	—	—	—	—	—	(21,274)	235,648	374,860
2023	—	—	—	—	—	—	—	—	68,038	153,037
2024	—	—	—	—	—	—	—	—	—	75,587
Total										$ 3,671,967
Outstanding liabilities from accident year 2014 and prior, net of reinsurance										43,964
Adjustment for unallocated loss adjustment expenses										8,137
Unamortized fair value and other adjustments recorded in connection with acquisitions										(26,885)
Liability for claims and claim expenses, net of reinsurance										$ 2,048,232

Casualty and Specialty Main Class of Business

The Company offers its casualty and specialty reinsurance products principally on a proportional basis, and it also provides excess of loss coverage. The Company offers casualty and specialty reinsurance products to insurance and reinsurance companies and provides coverage for specific geographic regions or on a worldwide basis. Principally all of the business is reinsurance, although the Company also writes insurance business.

NOTE 8. RESERVE FOR CLAIMS AND CLAIM EXPENSES, cont'd.

As with the Company's Property main class of business, its Casualty and Specialty main class of business reinsurance contracts can include coverage for relatively large limits or exposures. As a result, the Company's casualty and specialty reinsurance business can be subject to significant claims volatility. In periods of low claims frequency or severity, the Company's results will generally be favorably impacted while in periods of high claims frequency or severity the Company's results will generally be negatively impacted.

The Company's processes and methodologies in respect of loss estimation for the coverages offered through its Casualty and Specialty main class of business differ from those used for its Property main class of business. For example, the Company's casualty and specialty coverages are more likely to be impacted by factors such as long-term inflation and changes in the social and legal environment, which the Company believes gives rise to greater uncertainty in its reserves for claims and claim expenses. The Company believes this makes its Casualty and Specialty main class of business reserving subject to greater uncertainty than its Property main class of business.

The Company calculates multiple point estimates for claims and claim expense reserves using a variety of actuarial reserving techniques for many, but not all, of its classes of business for each underwriting year within the Casualty and Specialty main class of business. The Company does not believe that these multiple point estimates are, or should be considered, a range. Rather, the Company considers each class of business and determines the most appropriate point estimate for each underwriting year based on the characteristics of the particular class including: (1) loss development patterns derived from historical data; (2) the credibility of the selected loss development pattern; (3) the stability of the loss development patterns; (4) how developed the underwriting year is; and (5) the observed loss development of other underwriting years for the same class. The Company also considers other relevant factors, including: (1) historical ultimate loss ratios; (2) the presence of individual large losses; and (3) known occurrences that have not yet resulted in reported losses. The Company makes determinations of the most appropriate point estimate of loss for each class based on an evaluation of relevant information and does not ascribe any particular portion of the estimate to a particular factor or consideration. In addition, the Company believes that a review of individual contract information improves the loss estimates for some classes of business.

When developing claims and claims expense reserves for its Casualty and Specialty main class of business, the Company considers several actuarial techniques such as the expected loss ratio method, the Bornhuetter-Ferguson actuarial method and the paid and reported chain ladder actuarial method.

For classes of business and underwriting years where the Company has limited historical claims experience, estimates of ultimate losses are generally initially determined based on the loss ratio method applied to each underwriting year and to each class of business. Unless the Company has credible claims experience or unfavorable development, it generally selects an ultimate loss based on its initial expected loss ratio. The selected ultimate losses are determined by multiplying the initial expected loss ratio by the earned premium. The initial expected loss ratios are key inputs that involve management judgment and are based on a variety of factors, including: (1) contract by contract expected loss ratios developed during the Company's pricing process; (2) historical loss ratios and combined ratios adjusted for rate change and trend; and (3) industry benchmarks for similar business. These judgments take into account management's view of past, current and future factors that may influence ultimate losses, including: (1) market conditions; (2) changes in the business underwritten; (3) changes in timing of the emergence of claims; and (4) other factors that may influence ultimate loss ratios and losses.

NOTE 8. RESERVE FOR CLAIMS AND CLAIM EXPENSES, cont'd.

The determination of when reported losses are sufficient and credible to warrant selection of an ultimate loss ratio different from the initial expected loss ratio also requires judgment. The Company generally makes adjustments for reported loss experience indicating unfavorable variances from initial expected loss ratios sooner than reported loss experience indicating favorable variances. This is because the reporting of losses in excess of expectations tends to have greater credibility than an absence or lower than expected level of reported losses. Over time, as a greater number of claims are reported and the credibility of reported losses improves, actuarial estimates of IBNR are typically based on the Bornhuetter-Ferguson actuarial method or the reported chain ladder actuarial method.

The Bornhuetter-Ferguson actuarial method allows for greater weight to be applied to expected results in periods where little or no actual experience is available, and, hence, is less susceptible to the potential pitfall of being excessively swayed by experience of actual paid and/or reported loss data, compared to the chain ladder actuarial method. The Bornhuetter-Ferguson actuarial method uses the initial expected loss ratio to estimate IBNR, and it assumes that past experience is not fully representative of the future. As the Company's reserves for claims and claim expenses age, and actual claims experience becomes available, this method places less weight on expected experience and places more weight on actual experience. This experience, which represents the difference between expected reported claims and actual reported claims, is reflected in the respective reporting period as a change in estimate. The utilization of the Bornhuetter-Ferguson actuarial method requires the Company to estimate an expected ultimate claims and claim expense ratio and select an expected loss reporting pattern. The Company selects its estimates of the expected ultimate claims and claim expense ratios as described above and selects its expected loss reporting patterns by utilizing actuarial analysis, including management's judgment, and historical patterns of paid losses and reporting of case reserves to the Company, as well as industry loss development patterns. The estimated expected claims and claim expense ratio may be modified to the extent that reported losses at a given point in time differ from what would be expected based on the selected loss reporting pattern.

The reported chain ladder actuarial method utilizes actual reported losses and a loss development pattern to determine an estimate of ultimate losses that is independent of the initial expected ultimate loss ratio and earned premium. The Company believes this technique is most appropriate when there are a large number of reported losses with significant statistical credibility and a relatively stable loss development pattern. Information that may cause future loss development patterns to differ from historical loss development patterns is considered and reflected in the Company's selected loss development patterns as appropriate. For certain reinsurance contracts, historical loss development patterns may be developed from ceding company data or other sources.

In addition, certain specialty coverages may be impacted by natural and man-made catastrophes. The Company estimates reserves for claim and claim expenses for these losses, following a process that is similar to its Property main class of business described above.

NOTE 8. RESERVE FOR CLAIMS AND CLAIM EXPENSES, cont'd.

The following table details the Company's Casualty and Specialty main class of business incurred claims and claim expenses and cumulative paid claims and claim expenses as of December 31, 2024, net of reinsurance, as well as IBNR and ACR included within the net incurred claims amounts:

	Incurred Claims and Claim Expenses, Net of Reinsurance										
	For the year ended December 31,										At December 31, 2024
Accident Year	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	IBNR and ACR
	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)		
2015	$ 396,424	$ 391,850	$ 411,828	$ 395,946	$ 380,017	$ 383,467	$ 392,658	$ 392,130	$ 391,897	$ 393,871	$ 14,382
2016	—	390,866	393,862	391,074	383,518	372,708	381,494	383,681	373,813	376,439	6,481
2017	—	—	518,729	524,450	537,508	522,739	539,768	539,335	547,928	560,790	35,367
2018	—	—	—	487,841	541,841	531,950	511,229	501,016	518,210	526,083	42,784
2019	—	—	—	—	507,066	495,202	498,897	512,558	566,860	582,289	37,494
2020	—	—	—	—	—	787,967	700,803	709,892	711,395	694,197	158,981
2021	—	—	—	—	—	—	808,200	696,981	667,362	633,154	229,680
2022	—	—	—	—	—	—	—	1,014,252	918,203	857,911	452,201
2023	—	—	—	—	—	—	—	—	1,037,589	1,015,985	633,436
2024	—	—	—	—	—	—	—	—	—	966,172	819,188
Total										$ 6,606,891	$ 2,429,994

	Cumulative Paid Claims and Claim Expenses, Net of Reinsurance									
	For the year ended December 31,									
Accident Year	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	
2015	$ 26,830	$ 77,417	$ 175,700	$ 231,988	$ 279,892	$ 300,524	$ 321,242	$ 341,603	$ 353,738	$ 358,857
2016	—	29,103	100,059	142,427	215,684	261,893	299,337	317,983	321,174	330,211
2017	—	—	34,974	111,552	191,179	307,302	372,633	398,581	424,777	464,762
2018	—	—	—	33,407	139,373	212,508	316,041	351,117	389,182	417,954
2019	—	—	—	—	38,870	152,335	232,175	326,714	404,089	471,239
2020	—	—	—	—	—	99,132	198,555	305,276	378,393	484,997
2021	—	—	—	—	—	—	34,595	122,766	246,342	316,198
2022	—	—	—	—	—	—	—	34,184	196,276	335,606
2023	—	—	—	—	—	—	—	—	78,464	223,921
2024	—	—	—	—	—	—	—	—	—	86,320
Total										$ 3,490,065
Outstanding liabilities from accident year 2014 and prior, net of reinsurance										204,822
Adjustment for retroactive reinsurance										(124,576)
Adjustment for unallocated loss adjustment expenses										29,569
Unamortized fair value and other adjustments recorded in connection with acquisitions										(29,600)
Liability for claims and claim expenses, net of reinsurance										$ 3,197,041

NOTE 8. RESERVE FOR CLAIMS AND CLAIM EXPENSES, cont'd.

Prior Year Development of the Reserve for Net Claims and Claim Expenses

The Company's estimates of claims and claim expense reserves are not precise in that, among other things, they are based on predictions of future developments and estimates of future trends and other variable factors. Some, but not all, of the Company's reserves are further subject to the uncertainty inherent in actuarial methodologies and estimates. Because a reserve estimate is simply an insurer's estimate at a point in time of its ultimate liability, and because there are numerous factors that affect reserves and claims payments that cannot be determined with certainty in advance, the Company's ultimate payments will vary, perhaps materially, from its estimates of reserves. If the Company determines in a subsequent period that adjustments to its previously established reserves are appropriate, such adjustments are recorded in the period in which they are identified. On a net basis, the Company's cumulative favorable or unfavorable development is generally reduced by offsetting changes in its reinsurance recoverable, as well as changes to loss related premiums such as reinstatement premiums and redeemable noncontrolling interest, all of which generally move in the opposite direction to changes in the Company's ultimate claims and claim expenses.

The following table details the Company's prior year net development by main class of business of its net claims and claim expenses:

	(Favorable) Adverse Development	
Year ended December 31,	2024	2023
Property	$ (335,467)	$ (198,795)
Casualty and Specialty	(102,955)	(45,674)
Total net (favorable) adverse development of prior accident years net claims and claim expenses	$ (438,422)	$ (244,469)

Changes to prior year estimated net claims and claim expenses increased net income by $438.4 million during the year ended December 31, 2024 (2023 - increased net income by $244.5 million), excluding the consideration of changes in reinstatement, adjustment or other premium changes, profit commissions and income tax.

During 2024, net favorable development of prior accident years net claims and claim expenses of $438.4 million included net favorable development of $335.5 million and $103.0 million associated with the Company's Property and Casualty and Specialty main classes of business, respectively. The net favorable development of prior accident years net claims and claim expenses associated with the Company's Property main class of business in 2024 was primarily comprised of net favorable development on prior year accident years net claims and claim expenses associated with the following large catastrophe events driven by better than expected loss emergence:

- $8.9 million of net favorable development associated with the 2023 large loss events, which include earthquakes in Southern and Central Turkey, Cyclone Gabrielle, flooding in northern New Zealand, various wind and thunderstorm events in both the Southern and Midwest U.S., severe weather events in Texas and other Southern and Central U.S. states, wildfires in Hawaii, Hurricanes Idalia and Otis, Storm Ciaran, and certain aggregate loss contracts triggered during 2023;
- $101.9 million of net favorable development associated with the 2022 weather-related large losses, which include Hurricanes Ian, Fiona and Nicole, floods in Eastern Australia, Storm Eunice, severe weather in France, typhoons in Asia, Winter Storm Elliott, and certain losses associated with aggregate loss contracts;
- $55.1 million of net favorable development associated with the 2021 weather-related large losses, which include Winter Storm Uri, European Floods, Hurricane Ida, hail storm in Europe, wildfires in California, tornadoes in the Central and Midwest U.S., the Midwest Derecho, and losses associated with certain aggregate loss contracts;

NOTE 8. RESERVE FOR CLAIMS AND CLAIM EXPENSES, cont'd.

- $24.1 million of net favorable development associated with the 2020 weather-related large losses, which include Hurricanes Laura, Sally, Isaias, Delta, Zeta and Eta, the California, Oregon and Washington wildfires, Typhoon Maysak, the August 2020 Derecho, and certain losses associated with aggregate loss contracts;
- $5.7 million of net favorable development associated with the 2019 large loss events, which include Hurricane Dorian and Typhoons Faxai and Hagibis and certain losses associated with aggregate loss contracts;
- $11.2 million of net favorable development associated with the 2018 large loss events, which include Typhoons Jebi, Mangkhut and Trami, Hurricane Florence, wildfires in California, Hurricane Michael and certain losses associated with aggregate loss contracts; and
- $9.6 million of net favorable development associated with the 2017 large loss events, which includes Hurricanes Harvey, Irma and Maria, the Mexico City Earthquake, wildfires in California and certain losses associated with aggregate loss contracts.

In addition, the Company's Property main class of business also experienced net favorable development associated with a number of other small catastrophe events as well as attritional loss movements related to lines of business where the Company principally estimates net claims and claim expenses using traditional actuarial methods. The net favorable development on prior accident years net claims and claim expenses associated with the Company's Casualty and Specialty main class of business in 2024 was driven by the application of the Company's actuarial reserving methodology with attritional net claims and claim expenses reported coming in lower than expected on prior accident years events.

During 2023, net favorable development of prior accident years net claims and claim expenses of $244.5 million included net favorable development of $198.8 million and $45.7 million associated with the Company's Property and Casualty and Specialty main classes of business. The net favorable development of prior accident years net claims and claim expenses associated with the Company's Property main class of business in 2023 was primarily comprised of net favorable development on prior year accident years net claims and claim expenses associated with the following large catastrophe events driven by better than expected loss emergence:

- $24.6 million of net favorable development associated with the 2022 weather-related large losses, which include Hurricanes Ian, Fiona and Nicole, floods in Eastern Australia, Storm Eunice, severe weather in France, typhoons in Asia, Winter Storm Elliott, and certain losses associated with aggregate loss contracts;
- $16.1 million of net favorable development associated with the 2021 weather-related large losses, which include Winter Storm Uri, European Floods, Hurricane Ida, hail storm in Europe, wildfires in California, tornadoes in the Central and Midwest U.S., the Midwest Derecho, and certain losses associated with aggregate loss contracts;
- $33.9 million of net favorable development associated with the 2020 weather-related large losses, which include Hurricanes Laura, Sally, Isaias, Delta, Zeta and Eta, the California, Oregon and Washington wildfires, Typhoon Maysak, the August 2020 Derecho, and certain losses associated with aggregate loss contracts;
- $25.4 million of net favorable development associated with the 2019 large loss events, which include Hurricane Dorian and Typhoons Faxai and Hagibis and certain losses associated with aggregate loss contracts;
- $18.5 million of net favorable development associated with the 2018 large loss events, which include Typhoons Jebi, Mangkhut and Trami, Hurricane Florence, wildfires in California, Hurricane Michael and certain losses associated with aggregate loss contracts; and

NOTE 8. RESERVE FOR CLAIMS AND CLAIM EXPENSES, cont'd.

- $33.3 million of net favorable development associated with the 2017 large loss events, which includes Hurricanes Harvey, Irma and Maria, the Mexico City Earthquake, wildfires in California and certain losses associated with aggregate loss contracts.

In addition, the Company's Property main class of business also experienced net favorable development associated with a number of other small catastrophe events as well as attritional loss movements related to lines of business where the Company principally estimates net claims and claim expenses using traditional actuarial methods. The net favorable development on prior accident years net claims and claim expenses associated with the Company's Casualty and Specialty main class of business in 2023 was driven by the application of the Company's actuarial reserving methodology with attritional net claims and claim expenses reported coming in lower than expected on prior accident years events.

Reconciliation of the Disclosure of Incurred and Paid Claims Development to the Reserve for Claims and Claim Expenses

The reconciliation of the net incurred and paid claims development tables to the reserve for claims and claim expenses in the consolidated balance sheet is as follows:

At December 31, 2024	
Net Reserve for Claims and Claim Expenses	
Property	$ 2,048,232
Casualty and Specialty	3,197,041
Total net reserve for claims and claim expenses	5,245,273
Reinsurance Recoverable	
Property	1,553,722
Casualty and Specialty	1,382,829
Total reinsurance recoverable	2,936,551
Total reserve for claims and claim expenses	$ 8,181,824

Historical Claims Duration

The following is unaudited supplementary information about average historical claims duration by main class of business:

	Average annual percentage payout of incurred claims by age, net of reinsurance (number of years)									
At December 31, 2024	1	2	3	4	5	6	7	8	9	10
Property	20.9 %	24.8 %	16.9 %	6.2 %	7.0 %	(0.1)%	0.8 %	1.9 %	0.7 %	0.2 %
Casualty and Specialty	7.5 %	16.2 %	16.1 %	15.6 %	12.1 %	7.8 %	5.1 %	4.8 %	2.7 %	1.3 %

NOTE 8. RESERVE FOR CLAIMS AND CLAIM EXPENSES, cont'd.

Claims Frequency

Both of the Company's reportable main classes of business are broadly considered to be reinsurance, where multiple claims are often aggregated, perhaps multiple times through retrocessional reinsurance, before ultimately being ceded to the Company. The nature, size, terms and conditions of contracts entered into by the Company changes from one accident year to the next, as do the quantum of contractual or policy limits, and accordingly the potential amount of claims and claim expenses associated with a reported claim, can range from nominal, to significant. These factors can impact the amount and timing of the claims and claim expenses to be recorded and accordingly, developing claim frequency information is highly subjective and is not prepared or utilized for internal purposes. In recent years, the Company has grown its Casualty and Specialty main class of business where a significant amount of the premium and net reserves come from proportional contracts. The Company does not have direct access to claim frequency information underlying certain of its proportional contracts given the nature of that business. In addition, Validus Re amalgamated with the Company on October 1, 2024. Historically, Validus Re has not kept nor had access to claim count and frequency information. As providing any claim count and frequency information would exclude the entirety of the legacy Validus Re portfolio as well as all proportional contracts for the Company, the Company has determined that it is impracticable to provide this information.

Assumed Reinsurance Contracts Classified As Deposit Contracts

Included in other income (loss) during 2024 was $0.2 million related to income earned on assumed reinsurance contracts that were classified as deposit contracts with underwriting risk only (2023 - $0.2 million). Deposit liabilities of $3.5 million are included in reinsurance balances payable at December 31, 2024 (2023 - $3.7 million).

NOTE 9. SHAREHOLDER'S EQUITY

The aggregate authorized capital of the Company is 200,000,000 common shares of $1.00 par value each.

Effective November 1, 2023, the Company recognized the net asset transfer of Validus Re, an entity under common control, at GAAP book value as of November 1, 2023 of $2.9 billion. The net asset transfer was accounted for as of November 1, 2023, the date Validus Re became an entity under common control. In addition, on December 31, 2023, the distribution of Validus Holdings UK to an affiliated entity was completed for no consideration. In accordance with FASB ASC Topic 360, *Property, Plant and Equipment* the distribution of Validus Holdings UK was treated as a capital transaction measured at GAAP book value of the distributed discontinued operations less its contribution to net income (loss) for the period from November 1, to December 31, 2023. See "Note 3. Transactions Between Entities Under Common Control" for additional information related to Validus Re.

During 2024, the Company returned capital to its parent company of $1.5 billion. The capital returned was settled by a $1.2 billion transfer of RIHL mandatorily redeemable preference shares, in addition to $246.1 million of cash and $74.8 million of fixed maturity investments. The Company declared aggregate dividends of $1.0 billion to its parent company which was settled by $488.2 million and $515.1 million transfers in RIHL and ROIHL III mandatorily redeemable preference shares.

During 2023, the Company returned capital to its parent company of $422.4 million. The capital returned was settled by a $294.2 million transfer of RIHL mandatorily redeemable preference shares, in addition to $128.1 million of cash. The Company declared aggregate dividends of $182.7 million to its parent company which was settled with cash during the year.

NOTE 10. RELATED PARTY TRANSACTIONS AND MAJOR CUSTOMERS

Amounts due to and from affiliates are non-interest bearing and payable on demand, or in accordance with the contractual terms of reinsurance-related transactions.

Reinsurance-Related Transactions

DaVinci

The Company has entered into reinsurance agreements to cede a portion of its business to DaVinci Reinsurance Ltd. ("DaVinci"), a wholly-owned subsidiary of DaVinciRe Holdings Ltd., a minority-owned but controlled subsidiary of Renaissance Other Investments Holdings Ltd., which is a wholly-owned subsidiary of RenaissanceRe.

The following is a summary of the significant balances resulting from these reinsurance agreements with DaVinci:

Year ended December 31,	2024	2023
Net premiums written	$ (26,400)	$ (13,008)
Net premiums earned	(19,986)	(12,954)
Net claims and claim expenses incurred	3,847	(10,626)
Acquisition expenses	(2,100)	(967)
At December 31,	**2024**	**2023**
Premiums receivable	$ 351	$ —
Prepaid reinsurance premiums	8,583	2,167
Reinsurance recoverable	42,198	47,190
Reserve for claims and claim expenses	—	13,624
Reinsurance balances payable	17,871	13,208

Vermeer

The Company has entered into reinsurance agreements to cede a portion of its business to Vermeer Reinsurance Ltd. ("Vermeer"), a minority-owned but controlled subsidiary of Renaissance Other Investments Holdings Ltd., which is a wholly-owned subsidiary of RenaissanceRe.

The following is a summary of the significant balances resulting from these reinsurance agreements with Vermeer:

Year ended December 31,	2024	2023
Net premiums written	$ (7,400)	$ (8,328)
Net premiums earned	(7,419)	(13,336)
Net claims and claim expenses incurred	—	9,990
Acquisition expenses	(502)	(1,148)
At December 31,	**2024**	**2023**
Prepaid reinsurance premiums	$ 2,686	$ 2,704
Reinsurance balances payable	4,045	10,709

NOTE 10. RELATED PARTY TRANSACTIONS AND MAJOR CUSTOMERS, cont'd.

RenaissanceRe Specialty U.S.

The Company has entered into reinsurance agreements with RenaissanceRe Specialty U.S. Ltd. ("RenaissanceRe Specialty U.S."), a wholly-owned subsidiary of RenaissanceRe. In addition, effective December 31, 2024, the Company entered into an adverse development excess of loss agreement (the "ADC Agreement"), with its affiliates, RenaissanceRe Specialty U.S. and Renaissance Reinsurance U.S. Inc. ("Renaissance Reinsurance U.S."). Pursuant to the ADC Agreement, RenaissanceRe Specialty U.S. and Renaissance Reinsurance U.S. retrocedes to Renaissance Reinsurance 100% of aggregate ultimate net losses in excess of net reserves at December 31, 2024 for Underwriting Years 2022 and prior subject to a $360 million retention and up to a $380 million limit. The ADC Agreement is accounted for under FASB ASC Topic 944, *Financial Services – Insurance* in accordance with retroactive reinsurance accounting principles.

The following is a summary of the significant balances resulting from these reinsurance agreements with RenaissanceRe Specialty U.S.:

Year ended December 31,	2024	2023
Net premiums written	$ (195)	$ 3,192
Net premiums earned	464	6,533
Net claims and claim expenses incurred	12,833	(1,531)
Acquisition expenses [1]	220	46
Operational expenses	1,754	612
At December 31,	**2024**	**2023**
Premiums receivable	$ 8,781	$ —
Reserve for claims and claim expenses	111,265	144,593
Unearned premiums	—	642
Reinsurance balances payable	37,482	29,632
Accounts payable and accrued liabilities [2]	57,900	—

(1) Included in acquisition expenses for the year ended December 31, 2024 was $0.6 million relating to the ADC Agreement with RenaissanceRe Specialty U.S. (2023 - $Nil).

(2) Reflects the deferred gain liability at the balance sheet date relating to the ADC Agreement with RenaissanceRe Specialty U.S.

NOTE 10. RELATED PARTY TRANSACTIONS AND MAJOR CUSTOMERS, cont'd.

Upsilon RFO

The Company has entered into various reinsurance agreements with certain consolidated segregated accounts of Upsilon RFO Re Ltd. ("Upsilon RFO"), a wholly-owned subsidiary of RenaissanceRe.

The following is a summary of the significant balances resulting from these reinsurance agreements with Upsilon RFO:

Year ended December 31,	2024	2023
Net premiums written	$ 2,992	$ (2,021)
Net premiums earned	2,992	(6,394)
Net claims and claim expenses incurred	59,878	6,061
Acquisition expenses	771	(547)
Operational expenses	(59)	(124)
At December 31,	**2024**	**2023**
Premiums receivable	$ 15,434	$ 12,822
Reinsurance recoverable	173,683	315,402
Reinsurance balances payable	13,015	14,923

Upsilon RFO Re Diversified IV

Effective October 1, 2023, the Company entered into reinsurance agreements with Upsilon RFO Re Diversified IV, a non-consolidated segregated account of Upsilon RFO, a wholly-owned subsidiary of RenaissanceRe.

The following is a summary of the significant balances resulting from these reinsurance agreements with Upsilon RFO Re Diversified IV:

Year ended December 31,	2024	2023
Net premiums written	$ (31,607)	$ (26,960)
Net premiums earned	(8,930)	(2,303)
Net claims and claim expenses incurred	(6,898)	(3,858)
Acquisition expenses	(71)	(46)
Operational expenses	(1,653)	(37)
At December 31,	**2024**	**2023**
Prepaid reinsurance premiums	$ 47,333	$ 24,656
Reinsurance recoverable	10,756	3,858
Reinsurance balances payable	45,046	25,492

NOTE 10. RELATED PARTY TRANSACTIONS AND MAJOR CUSTOMERS, cont'd.

RREAG

The Company has entered into reinsurance agreements with RenaissanceRe Europe AG ("RREAG"), a wholly owned subsidiary of RenaissanceRe. In addition, in connection with the internal restructurings following the acquisition of Validus Holdings on November 1, 2023, the Company's reinsurance agreements with Validus Switzerland and its Bermuda Branch from the acquisition date, November 1, 2023, onwards are considered related party transactions. On June 21, 2024, RREAG and Validus Switzerland merged, with RREAG being the surviving entity.

The following is a summary of the significant balances resulting from these reinsurance agreements with RREAG:

Year ended December 31,	2024	2023
Net premiums written	$ 312,576	$ 231,019
Net premiums earned	263,646	226,311
Net claims and claim expenses incurred	151,143	109,546
Acquisition expenses	117,052	101,962
Operational expenses	(37,827)	(33,304)
At December 31,	**2024**	**2023**
Premiums receivable	$ 715,835	$ 530,310
Prepaid reinsurance premiums	210,371	177,090
Reinsurance recoverable	592,268	421,472
Reserve for claims and claim expenses	1,093,213	883,559
Unearned premiums	398,361	316,149
Reinsurance balances payable	739,670	513,379

Fontana Re and Fontana US

The Company entered into a quota share agreement with Fontana Reinsurance Ltd ("Fontana Re") and Fontana Reinsurance U.S. Ltd. ("Fontana US"), both of which are wholly-owned subsidiaries of Fontana Holdings L.P. and its subsidiaries ("Fontana").

The following is a summary of the significant balances resulting from these reinsurance agreements with Fontana Re and Fontana US:

Year ended December 31,	2024	2023
Net premiums written	$ (230,921)	$ (195,260)
Net premiums earned	(189,124)	(125,421)
Net claims and claim expenses incurred	(129,085)	(76,783)
Acquisition expenses	(47,171)	(30,886)
Operational expenses	(11,347)	(7,526)
At December 31,	**2024**	**2023**
Prepaid reinsurance premiums	$ 173,502	$ 131,705
Reinsurance recoverable	205,929	97,376
Reinsurance balances payable	226,164	182,084

NOTE 10. RELATED PARTY TRANSACTIONS AND MAJOR CUSTOMERS, cont'd.

Tower Hill Companies

Subsidiaries of the Company's ultimate parent have entered into equity investments in Tower Hill Holdings Inc. ("Tower Hill") and certain of its subsidiaries (collectively, the "Tower Hill Companies"), which are accounted for under the equity method of accounting. As a result, the Tower Hill Companies are considered related parties to the Company. The Company has entered into reinsurance agreements with certain subsidiaries and affiliates of Tower Hill and has also entered into reinsurance agreements with respect to business produced by the Tower Hill Companies.

The following is a summary of the significant balances resulting from these reinsurance agreements with the Tower Hill Companies:

Year ended December 31,	2024	2023
Net premiums written	$ 60,751	$ 52,917
Net premiums earned	60,979	36,409
Net claims and claim expenses incurred	40,754	2,917
Acquisition expenses	9,406	7,084
At December 31,	**2024**	**2023**
Premiums receivable	$ 12,522	$ 16,735
Reserve for claims and claim expenses	44,874	23,131

Other Items

RenaissanceRe Services Ltd.

Under the terms of an administration agreement, the Company primarily reimburses RenaissanceRe Services Ltd., a wholly-owned subsidiary of RenaissanceRe, and certain other subsidiaries, for administrative services, office lease, investment and certain employee benefit plans on the basis of directly identifiable costs plus an allocation of other expenses. In addition, the Company reimburses other affiliates for management, underwriting, investment management and administration functions performed by various related parties. During 2024, total net costs and expenses allocated to the Company, or otherwise reimbursed by the Company, were $165.2 million (2023 - $4.9 million).

Top Layer Re

During 2024, the Company received distributions from Top Layer Re of $16.8 million (2023 - $7.8 million), and a management fee of $3.0 million (2023 - $3.4 million). The management fee reimburses the Company for services it provides to Top Layer Re and is included in operational expenses. The Company has committed capital to support a $37.5 million letter of credit facility for Top Layer Re (2023 - $37.5 million) and the Company is also obligated to make a mandatory capital contribution of up to $50.0 million (2023 - $50.0 million) in the event that a loss reduces Top Layer Re's capital and surplus below a specified level. The letters of credit are secured by cash and investments of similar amounts.

Validus Holdings UK

In 2016, Validus Holdings UK, a wholly-owned subsidiary of RenaissanceRe Specialty Holdings (UK) Limited ("RSHUKL"), issued a zero-coupon loan note to Validus Re, now amalgamated with the Company, with an issue price of $250 million and principal amount of $550 million, maturing on July 31, 2031. On April 1, 2024, VHUK novated the zero-coupon loan note to RSHUKL as part of internal reorganization, in exchange for its ownership in Validus Switzerland.

The zero-coupon loan note receivable is reported at amortized cost using the effective interest method. The carrying value of the loan as of December 31, 2024 was $389.9 million (December 31, 2023 - $370.0 million). The amortization of the discount recognized on an effective yield basis for the year ended December 31, 2024 was $20.0 million (2023 - $Nil).

NOTE 10. RELATED PARTY TRANSACTIONS AND MAJOR CUSTOMERS, cont'd.

Broker Concentration

During 2024, the Company received 61.6% of its gross premiums written from three brokers (2023 - 63.1%). Subsidiaries and affiliates of Aon plc, Marsh & McLennan Companies, Inc. and Arthur J. Gallagher accounted for 33.7%, 18.3% and 9.6%, respectively, of the Company's gross premiums written in 2024 (2023 - 33.5%, 16.8% and 12.8%, respectively).

NOTE 11. TAXATION

Through December 31, 2024, Renaissance Reinsurance was not subject to any income or capital gains taxes in Bermuda. A 15% corporate income tax applies to the Company's Bermuda operations starting in 2025 as a result of the enactment of the Bermuda Corporate Income Tax Act 2023 ("CIT") on December 27, 2023. The Company expects its income taxes to increase beginning in 2025.

Renaissance Reinsurance of Europe DAC is subject to the tax laws of Ireland; RenaissanceRe CCL and Syndicate 1458 are subject to the tax laws of the U.K; the Singapore Branch is subject to the tax laws of Singapore; the Switzerland Branch is subject to the tax laws of Switzerland; and the Canada Branch is subject to the tax laws of Canada.

The following is a summary of the Company's income (loss) before taxes allocated between domestic and foreign operations:

Year ended December 31,	2024	2023
Domestic		
Bermuda	$ 899,166	$ 1,172,642
Foreign		
Singapore	34,393	23,556
U.K.	14,286	38,151
Switzerland	2,050	(9,015)
Ireland	(512)	(222)
Canada	(2,258)	2,103
Income (loss) before taxes	$ 947,125	$ 1,227,215

Income tax benefit (expense) is comprised as follows:

Income tax benefit (expense)	Current	Deferred	Total
Year ended December 31, 2024	$ (4,460)	$ 6,161	$ 1,701
Year ended December 31, 2023	$ (2,606)	$ 438,633	$ 436,027

The Company's expected income tax provision computed on pre-tax income (loss) at the weighted average tax rate has been calculated as the sum of the pre-tax income (loss) in each jurisdiction multiplied by that jurisdiction's applicable statutory tax rate. Statutory tax rates of 0.0% in Bermuda, 12.5% in Ireland, 25.0% in the U.K., 17.0% in Singapore, 26.5% in Canada, and 19.7% in Switzerland have been used.

NOTE 11. TAXATION, cont'd.

The Company's effective income tax rate, which it calculates as income tax benefit (expense) divided by income (loss) before taxes, may fluctuate significantly from period to period depending on the geographic distribution of pre-tax income (loss) in any given period between different jurisdictions with comparatively higher tax rates and those with comparatively lower tax rates. The geographic distribution of pre-tax income (loss) can vary significantly between periods due to, but not limited to, the following factors: the business mix of net premiums written and earned; the geographic location, the size and the nature of net claims and claim expenses incurred; the amount and geographic location of operational expenses, net investment income, net realized and unrealized gains (losses) on investments; outstanding debt and related interest expense; and the amount of specific adjustments to determine the income tax basis in each of the Company's operating jurisdictions. In addition, a significant portion of the Company's gross and net premiums are currently written and earned in Bermuda, which does not currently have a corporate income tax, including the majority of the Company's catastrophe business, which can result in significant volatility to its pre-tax income (loss) in any given period. The Company expects its consolidated effective tax rate will increase in 2025 as a result of the enactment of the CIT in Bermuda. In addition, it is possible the Company could be adversely affected by other future changes in tax laws, regulation, or enforcement, any of which could increase the effective tax rate more rapidly or steeply than currently anticipated.

A reconciliation of the difference between the provision for income taxes and the expected tax provision at the weighted average tax rate is as follows:

Year ended December 31,	2024	2023
Expected income tax benefit (expense)	$ (9,137)	$ (11,704)
Change in valuation allowance	11,985	5,558
Recognition of Bermuda net deferred tax asset	4,654	440,036
Effect of change in tax rate	(1)	(1,086)
Notional investment income	(677)	(184)
Reinsurance adjustment	(1,248)	4,746
GAAP to statutory accounting difference	(3,023)	(1,653)
Other	(852)	314
Income tax benefit (expense)	$ 1,701	$ 436,027

NOTE 11. TAXATION, cont'd.

The tax effects of temporary differences that give rise to significant portions of the deferred tax assets and deferred tax liabilities are presented below:

At December 31,	2024	2023
Deferred tax assets		
Intangible assets	$ 298,430	$ 291,495
Value of in-force business	124,460	124,460
Reserve for claims and claim expenses	44,065	41,641
Tax loss and credit carryforwards	18,132	23,725
Deferred underwriting results	2,895	10,015
Investments	—	1,390
Accrued expenses	270	271
	488,252	492,997
Deferred tax liabilities		
Deferred acquisition expenses	(15,525)	(15,194)
VOBA	(7,043)	(6,295)
	(22,568)	(21,489)
Net deferred tax asset (liability) before valuation allowance	465,684	471,508
Valuation allowance	(20,921)	(32,906)
Net deferred tax asset (liability)	$ 444,763	$ 438,602

The Company's net deferred tax asset primarily relates to net operating loss carryforwards and GAAP versus tax basis accounting differences relating to reserves for claims and claim expenses, deferred underwriting results, value of in-force business, intangible assets, VOBA, and deferred acquisition expenses. The Company's valuation allowance assessment is based on all available information including projections of future GAAP taxable income from each tax-paying component in each tax jurisdiction. During 2024, the Company recorded a net decrease to the valuation allowance of $12.0 million (2023 - $5.6 million).

A valuation allowance has been provided against deferred tax assets in Canada, Ireland, Switzerland and the U.K. These deferred tax assets relate primarily to net operating loss carryforwards and deferred underwriting results.

In Switzerland, the Company has net operating loss carryforwards of $14.9 million at December 31, 2024 (2023 - $29.8 million) which begin to expire in 2026. In Canada, the Company has net operating loss carryforwards of $0.8 million at December 31, 2024 (2023 - $Nil) which begin to expire in 2044. The Company has net operating loss carryforwards of $55.8 million in the U.K. (2023 - $63.8 million) and $8.3 million in Ireland (2023 - $7.8 million). Under applicable law, the U.K. and Ireland net operating losses can be carried forward for an indefinite period.

The Company made net payments for Canada, Singapore, U.K. and Switzerland income taxes of $9.0 million for the year ended December 31, 2024 (2023 - net payments $0.1 million).

The Company had no unrecognized tax benefits at December 31, 2024 and December 31, 2023. Interest and penalties related to unrecognized tax benefits would be recognized in income tax expense. At December 31, 2024 and December 31, 2023 there were no interest or penalties accrued on unrecognized tax benefits. The following filed income tax returns are open for examination with the applicable tax authorities: 2020 through 2023 with Ireland; 2022 through 2023 with the U.K.; 2020 through 2023 with Singapore; 2020 through 2023 with Canada and 2021 through 2023 with Switzerland. The Company does not expect the resolution of these open years to have a significant impact on its consolidated statements of operations and financial condition.

NOTE 12. STATUTORY REQUIREMENTS

The Company's (re)insurance operations are subject to insurance laws and regulations in the jurisdictions in which they operate, the most significant of which currently include Bermuda and the U.K. These regulations include certain restrictions on the amount of dividends or other distributions, such as loans or cash advances, available to shareholders without prior approval of the respective regulatory authorities.

The following table summarizes the statutory capital and surplus and required minimum statutory capital and surplus of the Company's primary regulated insurance operations in its most significant regulatory jurisdictions:

	Renaissance Reinsurance (Bermuda) [1]		Syndicate 1458 (U.K.) [2]	
At December 31,	2024	2023	2024	2023
Statutory capital and surplus	$ 3,369,312	$ 2,649,117	$ 952,309	$ 935,776
Required statutory capital and surplus	$ 1,328,439	$ 939,502	$ 952,309	$ 935,776

(1) Renaissance Reinsurance's required statutory capital and surplus is based on the minimum solvency margin. On October 1, 2024, Renaissance Reinsurance and Validus Re were amalgamated.

(2) With respect to statutory capital and surplus and required statutory capital and surplus, underwriting capacity of a member of Lloyd's must be supported by providing a deposit in the form of cash, securities or letters of credit, which are referred to as FAL. Syndicate 1458 is capitalized by its FAL, with the related assets not held on its balance sheet.

Renaissance Reinsurance

Under the Bermuda Insurance Act 1978, as amended, and related regulations (collectively, the "Insurance Act"), the Company is registered as a Class 4 general business insurer. Class 4 insurers are required to maintain available statutory economic capital and surplus at a level at least equal to their Enhanced Capital Requirement ("ECR"), which is established by reference to the Bermuda Solvency Capital Requirement ("BSCR") model. The ECR may be adjusted if the Bermuda Monetary Authority ("BMA") concludes that the insurer's risk profile deviates significantly from the assumptions underlying its ECR or the insurer's assessment of its risk management policies and practices used to calculate the ECR. The BMA has established a target capital level equal to 120% of the ECR. Failure to maintain statutory capital at least equal to the target capital level would likely result in increased BMA regulatory oversight.

The Company is currently completing its 2024 BSCR, which must be filed with the BMA on or before April 30, 2025, and at this time, the Company believes it will exceed the target capital level. The Company's 2023 BSCR was filed with the BMA on April 30, 2024 with a BSCR ratio of 154%.

Class 4 insurers are prohibited from declaring or paying any dividends if in breach of the required minimum solvency margin or minimum liquidity ratio, or if the declaration or payment of such dividend would cause the insurer to fail to meet the required minimum solvency margin or minimum liquidity ratio. Further, Class 4 insurers are prohibited to declare or pay dividends over certain thresholds without the BMA's approval. These restrictions on declaring or paying dividends and distributions under the Insurance Act are in addition to the solvency requirements under the Bermuda Companies Act 1981.

Syndicate 1458

The underwriting capacity of a member of Lloyd's must be supported by providing a deposit, referred to as "Funds at Lloyd's" or "FAL," in the form of cash, securities or letters of credit in an amount determined under the capital adequacy regime of the U.K. Prudential Regulatory Authority ("PRA"). The amount of such deposit is calculated for each member through the completion of quarterly capital adequacy exercise. Under these requirements, Lloyd's must demonstrate that each member has sufficient assets to meet its underwriting liabilities plus a required solvency margin. The amount of FAL for Syndicate 1458 is determined by Lloyd's and is based on Syndicate 1458's solvency and capital requirement as calculated through its internal model. Dividends from a Lloyd's managing agent and a Lloyd's corporate member can be declared and paid provided the relevant company has sufficient profits available for distribution.

NOTE 12. STATUTORY REQUIREMENTS, cont'd.

Renaissance Reinsurance of Europe DAC

Under the Solvency II capital regime, Renaissance Reinsurance of Europe DAC is required to maintain the higher of the Solvency Capital Requirement and Minimum Capital Requirement. At December 31, 2024 the amount required to be maintained by Renaissance Reinsurance of Europe DAC was $4.2 million (2023 - $4.1 million) and the Total Eligible Own Funds to meet this requirement was $10.3 million (2023 - $7.8 million).

Singapore Branch

The Singapore Branch is licensed to carry on insurance business as a general reinsurer under the regulation of the Monetary Authority of Singapore, which is its primary regulator, pursuant to Singapore's Insurance Act. Additionally, the Singapore Branch is regulated by the Accounting and Corporate Regulatory Authority as a foreign company pursuant to Singapore's Companies Act. The activities and regulatory requirements of the Singapore Branch are not considered to be material to the Company.

Switzerland Branch

The Switzerland Branch is considered a branch office of a foreign reinsurer, and is not regulated by the Swiss Financial Market Supervisory Authority. The activities of the Switzerland Branch are not considered to be material to the Company.

Canada Branch

The Canada Branch office is subject to regulation by the Office of the Superintendent of Financial Institutions Canada ("OSFI"). Under regulations and guidelines prescribed by OSFI, the Canada Branch office is required to maintain prescribed levels of capital, which are dependent on the type and amount of insurance policies in force and the nature of the Canada Branch office's assets. On December 9, 2024, the Canada Branch's federal insurance license was revoked. The activities of the Canada Branch are not considered to be material to the Company.

Multi-Beneficiary Reinsurance Trust

Renaissance Reinsurance is approved as a Trusteed Reinsurer and established a multi-beneficiary reinsurance trust ("MBRT") to collateralize its (re)insurance liabilities. The MBRT is subject to rules and regulations including but not limited to certain minimum capital funding requirements, investment guidelines, capital distribution restrictions and regulatory reporting requirements. At December 31, 2024, assets held under trust and the minimum amount required with respect to the MBRT were $1.0 billion and $554.1 million, respectively (2023 - $1.2 billion and $910.6 million, respectively).

Multi-Beneficiary Reduced Collateral Reinsurance Trust

Renaissance Reinsurance is approved as a "certified reinsurer" eligible for collateral reduction in certain states and is authorized to provide reduced collateral equal to 20% of its net outstanding insurance liabilities to insurers domiciled in those states. Renaissance Reinsurance has established a multi-beneficiary reduced collateral reinsurance trust ("RCT") to collateralize its (re)insurance liabilities associated with cedants domiciled in those states. The RCT is subject to rules and regulations including but not limited to certain minimum capital funding requirements, investment guidelines, capital distribution restrictions and regulatory reporting requirements. At December 31, 2024, assets held under trust and the minimum amount required with respect to the RCT were $187.7 million and $83.6 million, respectively (2023 - $193.9 million and $129.4 million, respectively).

NOTE 13. DERIVATIVE INSTRUMENTS

From time to time, the Company may enter into derivative instruments such as futures, options, swaps, forward contracts and other derivative contracts primarily to manage its foreign currency exposure, obtain exposure to a particular financial market, or for trading and to assume or hedge risk. The Company's derivative instruments can be exchange traded or over-the-counter, with over-the-counter derivatives generally traded under International Swaps and Derivatives Association master agreements, which establish the terms of the transactions entered into with the Company's derivative counterparties. In the event a party becomes insolvent or otherwise defaults on its obligations, a master agreement generally permits the non-defaulting party to accelerate and terminate all outstanding transactions and net the transactions' marked-to-market values so that a single sum in a single currency will be owed by, or owed to, the non-defaulting party. Effectively, this contractual close-out netting reduces credit exposure from gross to net exposure. Where the Company has entered into master netting agreements with counterparties, or the Company has the legal and contractual right to offset positions, the derivative positions are generally netted by counterparty and are reported accordingly in other assets and other liabilities.

The Company is not aware of the existence of any credit-risk related contingent features that it believes would be triggered in its derivative instruments that are in a net liability position at December 31, 2024.

The tables below show the gross and net amounts of recognized derivative assets and liabilities at fair value, including the location on the consolidated balance sheets of the Company's principal derivative instruments:

	Derivative Assets					
At December 31, 2024	Gross Amounts of Recognized Assets	Gross Amounts Offset in the Balance Sheet	Net Amounts of Assets Presented in the Balance Sheet	Balance Sheet Location	Collateral Received	Net Amount
Interest rate futures	$ 3,958	$ —	$ 3,958	Other assets	$ —	$ 3,958
Foreign currency forward contracts (1)	3,275	—	3,275	Other assets	—	3,275
Commodity futures	5,933	—	5,933	Other assets	—	5,933
Total	$ 13,166	$ —	$ 13,166		$ —	$ 13,166

	Derivative Liabilities					
At December 31, 2024	Gross Amounts of Recognized Liabilities	Gross Amounts Offset in the Balance Sheet	Net Amounts of Liabilities Presented in the Balance Sheet	Balance Sheet Location	Collateral Pledged	Net Amount
Interest rate futures	$ 5,628	$ —	$ 5,628	Other liabilities	$ 5,241	$ 387
Foreign currency forward contracts (1)	2,164	—	2,164	Other liabilities	2,000	164
Equity futures	1,694	—	1,694	Other liabilities	—	1,694
Credit default swaps	1,675	—	1,675	Other liabilities	1,675	—
Total	$ 11,161	$ —	$ 11,161		$ 8,916	$ 2,245

(1) Contracts used to manage foreign currency risks in underwriting and non-investment operations.

NOTE 13. DERIVATIVE INSTRUMENTS, cont'd.

	Derivative Assets					
At December 31, 2023	Gross Amounts of Recognized Assets	Gross Amounts Offset in the Balance Sheet	Net Amounts of Assets Presented in the Balance Sheet	Balance Sheet Location	Collateral Received	Net Amount
Interest rate futures	$ 12,669	$ —	$ 12,669	Other assets	$ —	$ 12,669
Foreign currency forward contracts [1]	689	—	689	Other assets	—	689
Foreign currency forward contracts [2]	2	—	2	Other assets	—	2
Credit default swaps	712	—	712	Other assets	—	712
Total	$ 14,072	$ —	$ 14,072		$ —	$ 14,072

	Derivative Liabilities					
At December 31, 2023	Gross Amounts of Recognized Liabilities	Gross Amounts Offset in the Balance Sheet	Net Amounts of Liabilities Presented in the Balance Sheet	Balance Sheet Location	Collateral Pledged	Net Amount
Interest rate futures	$ 5,720	$ —	$ 5,720	Other liabilities	$ 5,720	$ —
Foreign currency forward contracts [1]	1,719	—	1,719	Other liabilities	—	1,719
Credit default swaps	1,229	—	1,229	Other liabilities	1,229	—
Commodity futures	1,441	—	1,441	Other liabilities	1,441	—
Total	$ 10,109	$ —	$ 10,109		$ 8,390	$ 1,719

(1) Contracts used to manage foreign currency risks in underwriting and non-investment operations.

(2) Contracts used to manage foreign currency risks in investment operations.

NOTE 13. DERIVATIVE INSTRUMENTS, cont'd.

The location and amount of the gain (loss) recognized in the Company's consolidated statements of operations related to its principal derivative instruments are shown in the following table:

	Location of Gain (Loss) Recognized on Derivatives	Amount of Gain (Loss) Recognized on Derivatives	
Year ended December 31,		2024	2023
Interest rate futures [1]	Net realized and unrealized gains (losses) on investments	$ (81,375)	$ 8,503
Foreign currency forward contracts [2]	Net foreign exchange gains (losses)	1,344	(1,412)
Foreign currency forward contracts [3]	Net foreign exchange gains (losses)	110	(43)
Credit default swaps [1]	Net realized and unrealized gains (losses) on investments	(55,470)	(68,767)
Equity futures [4]	Net realized and unrealized gains (losses) on investments	3,379	(1,928)
Commodity futures	Net realized and unrealized gains (losses) on investments	81,069	5,256
Total		$ (50,943)	$ (58,391)

(1) Fixed income related derivatives included in net realized and unrealized gains (losses) on investment-related derivatives. See "Note 5. Investments" for additional information.

(2) Contracts used to manage foreign currency risks in underwriting and non-investment operations.

(3) Contracts used to manage foreign currency risks in investment operations.

(4) Equity related derivatives included in net realized and unrealized gains (losses) on investment-related derivatives. See "Note 5. Investments" for additional information.

Interest Rate Derivatives

The Company uses interest rate futures within its portfolio of fixed maturity investments to manage its exposure to interest rate risk, which may result in increasing or decreasing its exposure to this risk.

Interest Rate Futures

The fair value of interest rate futures is determined using exchange traded prices. At December 31, 2024, the Company had $6.0 billion of notional long positions and $2.8 billion of notional short positions of primarily U.S. treasury and non-US government bond futures contracts (2023 - $5.4 billion and $2.5 billion, respectively).

Foreign Currency Derivatives

The Company's functional currency is the U.S. dollar. The Company writes a portion of its business in currencies other than U.S. dollars and may, from time to time, experience foreign exchange gains and losses in the Company's consolidated financial statements. The impact of changes in exchange rates on the Company's assets and liabilities denominated in currencies other than the U.S. dollar, excluding non-monetary assets and liabilities, are recognized in the Company's consolidated statements of operations.

NOTE 13. DERIVATIVE INSTRUMENTS, cont'd.

Underwriting and Non-Investments Operations Related Foreign Currency Contracts

The Company's foreign currency policy with regard to its underwriting operations is generally to enter into foreign currency forward and option contracts for notional values that approximate the foreign currency liabilities, including claims and claim expense reserves and reinsurance balances payable, net of any cash, investments and receivables held in the respective foreign currency. The Company's use of foreign currency forward and option contracts is intended to minimize the effect of fluctuating foreign currencies on the value of non-U.S. dollar denominated assets and liabilities associated with its underwriting operations. The Company may determine not to match a portion of its projected underwriting related assets or liabilities with underlying foreign currency exposure with investments in the same currencies, which would increase its exposure to foreign currency fluctuations and potentially increase the impact and volatility of foreign exchange gains and losses on its results of operations. The fair value of the Company's underwriting operations related foreign currency contracts is determined using indicative pricing obtained from counterparties or broker quotes. At December 31, 2024, the Company had outstanding underwriting related foreign currency contracts of $38.6 million in notional long positions and $39.6 million in notional short positions, denominated in U.S. dollars (2023 - $72.5 million and $48.2 million, respectively).

Investment Portfolio Related Foreign Currency Forward Contracts

The Company's investment operations are exposed to currency fluctuations through its investments in non-U.S. dollar fixed maturity investments, short term investments and other investments. From time to time, the Company may employ foreign currency forward contracts in its investment portfolio to either assume foreign currency risk or to economically hedge its exposure to currency fluctuations from these investments. The fair value of the Company's investment portfolio related foreign currency forward contracts is determined using an interpolated rate based on closing forward market rates. At December 31, 2024, the Company had outstanding investment portfolio related foreign currency contracts of $Nil in notional short positions, denominated in U.S. dollars (2023 - $3.3 million).

Credit Derivatives

The Company's exposure to credit risk is primarily due to its fixed maturity investments, short term investments, premiums receivable and reinsurance recoverable. From time to time, the Company may purchase credit derivatives to manage its exposures in the insurance industry, and to assist in managing the credit risk associated with ceded reinsurance. The Company also employs credit derivatives in its investment portfolio to either assume credit risk or manage its credit exposure.

Credit Default Swaps

The fair value of the Company's credit default swaps is determined using industry valuation models, broker bid indications or internal pricing valuation techniques. The fair value of these credit default swaps can change based on a variety of factors including changes in credit spreads, default rates and recovery rates, the correlation of credit risk between the referenced credit and the counterparty, and market rate inputs such as interest rates. At December 31, 2024, the Company had outstanding credit default swaps of $1.4 billion in notional positions to protect the investment portfolio against increasing credit risk, denominated in U.S. dollars (2023 - $1.5 billion).

Equity Derivatives

Equity Futures

From time to time, the Company uses equity derivatives in its investment portfolio to either assume equity risk or hedge its equity exposure. The fair value of the Company's equity futures is determined using market-based prices from pricing vendors. At December 31, 2024, the Company had $437.2 million of notional long positions of equity futures (2023 - $Nil notional long positions).

NOTE 13. DERIVATIVE INSTRUMENTS, cont'd.

Commodity Derivatives

The Company uses commodity derivatives within its investments portfolio to assume risk and manage its exposures in the insurance industry. Commodity derivatives expose the Company to potentially unfavorable price changes to the underlying commodities.

Commodity Futures

The fair value of the Company's commodity futures is determined using market-based prices from pricing vendors. At December 31, 2024, the Company had $684.3 million of notional long positions of commodity futures, denominated in U.S. dollars (2023 - $255.2 million of notional long positions).

NOTE 14. COMMITMENTS, CONTINGENCIES AND OTHER ITEMS

Concentration of Credit Risk

Instruments which potentially subject the Company to concentration of credit risk consist principally of investments, including the Company's equity method investments, cash, premiums receivable and reinsurance balances. The Company limits the amount of credit exposure to any one financial institution and, except for the securities of the U.S. Government and U.S. Government related entities, and money market securities, none of the Company's fixed maturity and short term investments exceeded 10% of shareholder's equity at December 31, 2024 and 2023. Refer to "Note 7. Reinsurance" for information with respect to reinsurance recoverable.

Letters of Credit and Other Commitments

The agreements governing the Company's credit facilities contain certain customary representations, warranties and covenants. At December 31, 2024 and 2023, the Company believes that it was in compliance with its covenants.

The outstanding amounts issued or drawn under each of the Company's significant credit facilities is set forth below:

At December 31, 2024	Issued or Drawn
RenaissanceRe Revolving Credit Facility [1]	$ —
Bilateral Letter of Credit Facilities	
Secured	111,607
Unsecured	23,632
	$ 135,239

(1) At December 31, 2024, no amounts were issued or drawn under this facility.

NOTE 14. COMMITMENTS, CONTINGENCIES AND OTHER ITEMS, cont'd.

RenaissanceRe Revolving Credit Facility

RenaissanceRe, the Company and other operating subsidiaries of RenaissanceRe, are parties to a third amended and restated credit agreement dated November 18, 2022 (the "Revolving Credit Agreement") with various banks, financial institutions and Wells Fargo Bank, National Association ("Wells Fargo") as administrative agent, which amended and restated a previous credit agreement. The Revolving Credit Agreement provides for a revolving commitment to RenaissanceRe of $500.0 million, with a right, subject to satisfying certain conditions, to increase the size of the facility to $700.0 million. Amounts borrowed under the Revolving Credit Agreement bear interest at a rate selected by RenaissanceRe equal to the Base Rate or Term SOFR (each as defined in the Revolving Credit Agreement) plus a margin. In addition to revolving loans, the Revolving Credit Agreement provides that the entire facility will also be available for the issuance of standby letters of credit, subject to the terms and conditions set forth therein, and swingline loans, which are capped at $50.0 million for each of the swingline lenders. At December 31, 2024, the Company had $Nil outstanding under the Revolving Credit Agreement.

The Revolving Credit Agreement contains representations, warranties and covenants customary for bank loan facilities of this type, including limits on the ability of RenaissanceRe and its subsidiaries to merge, consolidate, sell a substantial amount of assets, incur liens and declare or pay dividends under certain circumstances. The Revolving Credit Agreement also contains certain financial covenants which generally provide that the ratio of consolidated debt to capital shall not exceed 0.35:1 and that the consolidated net worth of RenaissanceRe shall equal or exceed approximately $4.0 billion, subject to an annual adjustment.

If certain events of default occur, in some circumstances the lenders' obligations to make loans may be terminated and the outstanding obligations of RenaissanceRe under the Revolving Credit Agreement may be accelerated. The scheduled commitment maturity date of the Revolving Credit Agreement is November 18, 2027.

A certain subsidiary of RenaissanceRe guarantees RenaissanceRe's obligations under the Revolving Credit Agreement. Subject to certain exceptions, additional subsidiaries of RenaissanceRe are required to become guarantors if such subsidiaries issue or incur certain types of indebtedness.

Bilateral Letter of Credit Facilities

Uncommitted, Secured Standby Letter of Credit Facility with Wells Fargo

RenaissanceRe and certain of its subsidiaries and affiliates, including the Company, are parties to an Amended and Restated Standby Letter of Credit Agreement dated June 21, 2019, as amended, with Wells Fargo, which provides for a secured, uncommitted facility under which letters of credit may be issued from time to time for the respective accounts of the subsidiaries. Pursuant to the agreement, the applicants may request secured letter of credit issuances up to an aggregate amount of $200.0 million. RenaissanceRe has unconditionally guaranteed the payment obligations of the Company.

The agreement contains representations, warranties and covenants that are customary for facilities of this type. Under the agreement, each applicant is required to pledge eligible collateral having a value sufficient to cover all of its obligations under the agreement with respect to secured letters of credit issued for its account. In the case of an event of default under the agreement, Wells Fargo may exercise certain remedies, including conversion of collateral of a defaulting applicant into cash.

At December 31, 2024, RenaissanceRe had $20.1 million of secured letters of credit outstanding and $Nil of unsecured letters of credit outstanding under this agreement, of which $1.9 million and $Nil, respectively, relate to the Company.

NOTE 14. COMMITMENTS, CONTINGENCIES AND OTHER ITEMS, cont'd.

Secured Letter of Credit Facility with Citibank Europe

Certain subsidiaries of RenaissanceRe, including the Company, are parties to a facility letter, dated December 19, 2022, as amended, with Citibank Europe plc ("Citibank Europe"), pursuant to which Citibank Europe has established a letter of credit facility under which Citibank Europe provides a commitment to issue letters of credit for the accounts of the participants in multiple currencies. On November 1, 2023, the aggregate committed amount of the facility was increased from $180.0 million to $320.0 million, with a right, subject to satisfying certain conditions, to increase the size of the facility to $350.0 million.

The letter of credit facility is scheduled to expire on December 31, 2026. At all times during which it is a party to the facility, each participant is obligated to pledge to Citibank Europe securities with a value that equals or exceeds the aggregate face amount of its then-outstanding letters of credit. In the case of an event of default under the facility with respect to a participant, Citibank Europe may exercise certain remedies, including terminating its commitment to such participant and taking certain actions with respect to the collateral pledged by such participant (including the sale thereof). In the facility letter, each participant makes representations and warranties that are customary for facilities of this type and agrees that it will comply with certain informational and other undertakings.

At December 31, 2024, $232.6 million aggregate face amount of letters of credit was outstanding, of which $109.8 million relate to the Company, and $87.4 million remained unused and available to the participants under this facility.

Uncommitted, Unsecured Letter of Credit Facility with Citibank Europe

The Company and other operating subsidiaries of RenaissanceRe are parties to a Master Agreement for Issuance of Payment Instruments and a Facility Letter for Issuance of Payment Instruments with Citibank Europe dated March 22, 2019, as amended, which established an uncommitted, unsecured letter of credit facility pursuant to which Citibank Europe or one of its correspondents may issue standby letters of credit or similar instruments in multiple currencies for the account of one or more of the applicants. The obligations of the applicants under this facility are guaranteed by RenaissanceRe.

Pursuant to the master agreement, each applicant makes representations and warranties that are customary for facilities of this type and agrees that it will comply with certain informational and other customary undertakings. The master agreement contains events of default customary for facilities of this type. In the case of an event of default under the facility, Citibank Europe may exercise certain remedies, including requiring that the relevant applicant pledge cash collateral in an amount equal to the maximum actual and contingent liability of the issuing bank under the letters of credit and similar instruments issued for such applicant under the facility, and taking certain actions with respect to the collateral pledged by such applicant (including the sale thereof). In addition, Citibank Europe may require that the relevant applicant pledge cash collateral if certain minimum ratings are not satisfied.

At December 31, 2024, the aggregate face amount of the payment instruments issued and outstanding under this facility was $293.0 million, of which $23.6 million relates to the Company.

Unsecured Letter of Credit Facility with Credit Suisse

RenaissanceRe, the Company and certain other operating subsidiaries of RenaissanceRe were parties to a letter of credit facility agreement with Credit Suisse (Switzerland) Ltd. ("Credit Suisse") dated December 16, 2021, as amended, and which provided for a $200.0 million committed, unsecured letter of credit facility pursuant to which Credit Suisse (or any other fronting bank acting on behalf of Credit Suisse) may issue letters of credit or similar instruments in multiple currencies. The obligations of the Company under the agreement were guaranteed by RenaissanceRe. The facility was allowed to expire in accordance with its terms on December 31, 2024.

At December 31, 2024, letters of credit issued by Credit Suisse under the agreement were outstanding in the face amount of $19.1 million, of which $Nil relates to the Company.

NOTE 14. COMMITMENTS, CONTINGENCIES AND OTHER ITEMS, cont'd.

Uncommitted, Unsecured Standby Letter of Credit Facility with Nordea

RenaissanceRe, the Company and certain other operating subsidiaries of RenaissanceRe are parties to a standby letter of credit agreement with Nordea Bank Abp, New York Branch ("Nordea") dated October 3, 2024 which provides for an uncommitted, unsecured facility pursuant to which Nordea may issue standby letters of credit in multiple currencies. Pursuant to the agreement, the applicants may request letters of credit up to an aggregate amount of $250.0 million. The obligations of the Company under the agreement are guaranteed by RenaissanceRe.

At December 31, 2024, letters of credit issued by Nordea under the agreement were outstanding in the face amount of $45.3 million, of which $Nil relates to the Company.

Uncommitted Letter of Credit Facility with Société Générale

The Company is party to a letter of credit reimbursement agreement with Société Générale, New York Branch ("SocGen"), dated September 8, 2022, which provides for a $250.0 million uncommitted letter of credit facility under which the Company may request either secured or unsecured letters of credit in multiple currencies, subject to secured letters of credit comprising at least 40% of the maximum aggregate amount.

In the agreement, the Company makes representations, warranties and covenants that are customary for facilities of this type, and agrees to comply with certain informational and other customary undertakings. The agreement also contains certain financial covenants applicable to the Company customary for facilities of this type.

The agreement contains events of default customary for facilities of this type. At any time on or after the occurrence of an event of default, SocGen may exercise remedies, including requiring that the Company pledge cash collateral in an amount equal to the maximum liability of the issuing bank under the unsecured letters of credit and similar instruments issued under the agreement, and taking certain actions with respect to the collateral pledged by such applicant (including the sale thereof).

At December 31, 2024, letters of credit issued by SocGen under the agreement were outstanding in the face amount of $Nil.

Investment Commitments

See "Note 5. Investments" for additional information related to the Company's private credit fund commitments.

Indemnifications and Warranties

In the ordinary course of its business, the Company may enter into contracts or agreements that contain indemnifications or warranties. Future events could occur that lead to the execution of these provisions against the Company. Based on past experience, management currently believes that the likelihood of such an event is remote.

NOTE 14. COMMITMENTS, CONTINGENCIES AND OTHER ITEMS, cont'd.

Legal Proceedings

The Company is subject to lawsuits and regulatory actions in the normal course of business that do not arise from or directly relate to claims on reinsurance treaties or contracts or direct insurance policies, as applicable. In the Company's industry, business litigation may involve allegations of underwriting or claims-handling errors or misconduct, employment claims, regulatory actions or other disputes. The Company may also directly or indirectly be subject to its claims litigation involving disputed interpretations of policy coverages. These lawsuits, involving or arising out of claims on policies issued by the Company are typical to the insurance industry in general and in the normal course of business, are considered in its claims and claim expense reserves. In addition, the Company may from time to time engage in litigation or arbitration related to its claims for payment in respect of ceded reinsurance, including disputes that challenge the Company's ability to enforce its underwriting intent. Such matters could result, directly or indirectly, in providers of protection not meeting their obligations to the Company or not doing so on a timely basis. The Company may also be subject to other disputes from time to time, relating to operational or other matters distinct from insurance or reinsurance related claims. Any litigation or arbitration, or regulatory process, contains an element of uncertainty, and the value of an exposure or a gain contingency related to a dispute is difficult to estimate. The Company believes that no individual litigation or arbitration to which the Company is presently a party is likely to have a material adverse effect on its financial condition, business or operations.

NOTE 15. SUBSEQUENT EVENTS

California Wildfires

The California wildfires, commencing in January 2025, have led to a range of publicly available industry insured loss estimates. Based on a $50 billion aggregate industry insured loss, the Company estimates a pre-tax net impact of $490 million in the first quarter of 2025. This net impact includes net claims and claim expenses incurred, assumed and ceded reinstatement premiums earned and earned and lost profit commissions. The Company's assessment of the impact from the California wildfires is preliminary, and is based on, among other things, initial industry insured loss estimates, market share analysis, the application of modeling techniques, a review of in-force contracts and potential uncertainties relating to reinsurance recoveries. It is difficult at this time to provide an accurate estimate of the financial impact of the California wildfires, including as a result of the preliminary nature of the information provided thus far by industry participants, the magnitude and recency of the California wildfires, and other factors.

The Company has completed its subsequent events evaluation for the period subsequent to the balance sheet date of December 31, 2024, through April 17, 2025, the date the financial statements were available to be issued.